

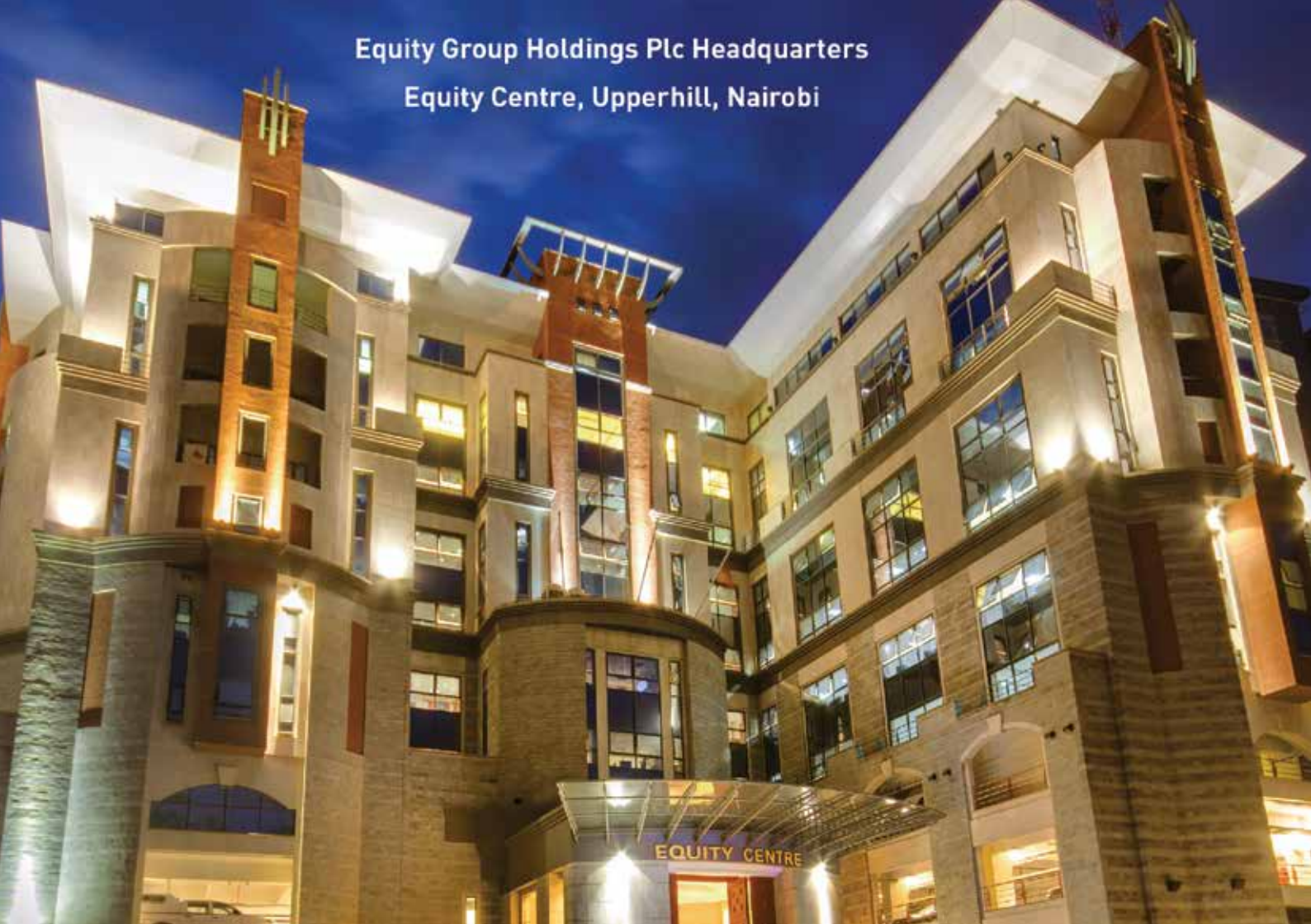


Investor Briefing Q3 2018 Performance

5th November, 2018



Equity Group Holdings Plc Headquarters
Equity Centre, Upperhill, Nairobi





Equity Group's Philosophies

Our Purpose

We exist to transform the lives and livelihoods of our people socially and economically by availing them modern, inclusive financial services that maximise their opportunities.

Our Vision

To be the champion of the socio-economic prosperity of the people of Africa.

Our Mission

We offer inclusive, customer-focused financial services that socially and economically empower our clients and other stakeholders.

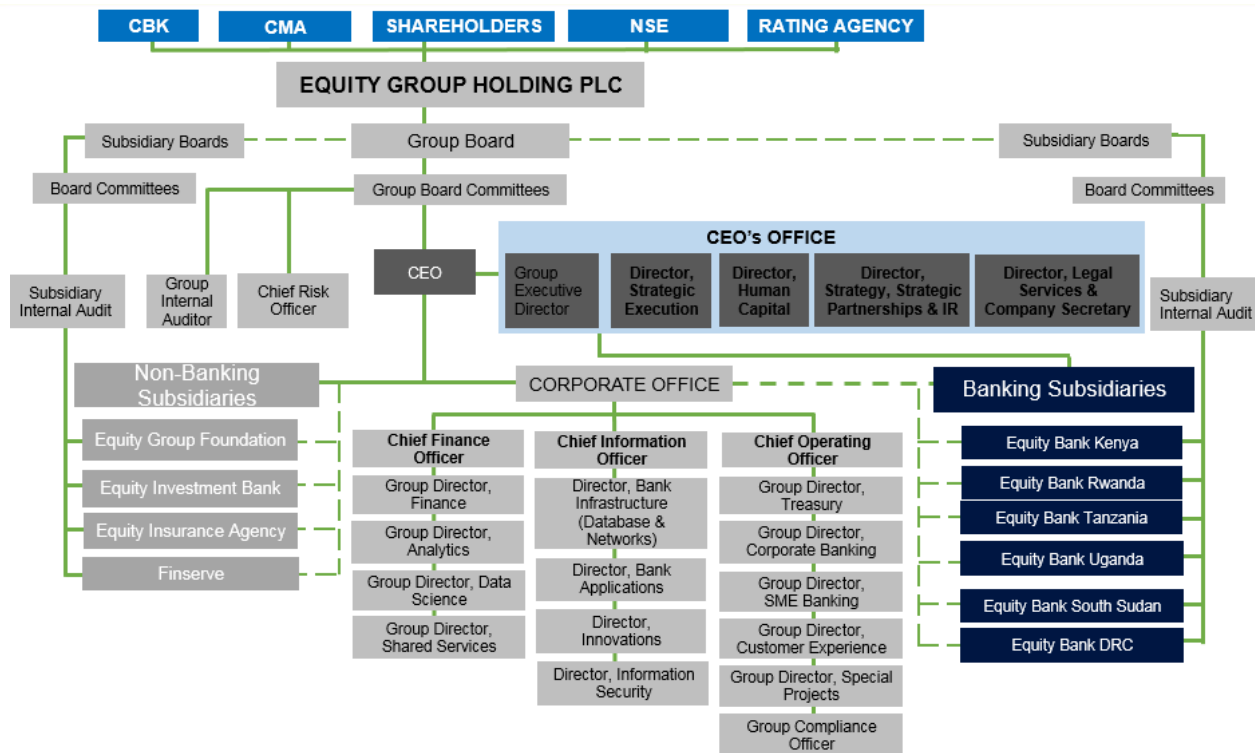
Core Values

- Professionalism
- Integrity
- Creativity & Innovation
- Teamwork
- Unity of Purpose
- Respect & Dignity for Customers
- Effective Corporate Governance

Positioning Statement

Equity provides inclusive financial services that transform livelihoods, give dignity and expand opportunities.

Governance & Organizational Structure



Each subsidiary with own Board of Directors compliant with local regulations



Group Executive Management



James Mwangi, CBS
Group Managing Director &
Chief Executive Officer



Mary Wamae
Group Executive Director



Bhartesh Shah
Chief Operations Officer



Reuben Mbindu
Chief Officer, Human
Capital and Administration



Brent Malahay
Group Director, Strategy,
Strategic Partnerships and
Investor Relations



James Mutuku
Group Director, Treasury



Julius Kayaboke
Group Director of
Customer Experience
and Product Management



Christine Browne
Group Director Legal Services
and Company Secretary



Bildard Fwamba
Chief Internal Auditor



Gerald Warui
Director, Operations
and Customer Experience



Elizabeth Gathai
Director, Credit



Philip Sigwart
Director,
SME Banking



Allan Waititu
Director,
Special Projects



John Wamai
Director, ICT-Enterprise Business
Systems and Services



David Nyamu
Director, Marketing

Group Executive Management



Polycarp Igathe
Managing Director,
Equity Bank Kenya



Samuel Kirubi
Managing Director,
Equity Bank Uganda



Anthony Kituuka
Executive Director,
Equity Bank Uganda



Addis Ababa Othow
Managing Director,
Equity Bank South Sudan



Hannington Namara
Managing Director,
Equity Bank Rwanda



Robert Kiboti
Managing Director,
Equity Bank Tanzania



Célestin Muntuabu
Managing Director,
Equity Bank Congo



Jack Ngare
Managing Director,
Finserve Africa



Eric Karobia
Executive Director,
Finserve Africa

EQUITY CENTRE

Macroeconomic Operating Environment



Macro-economic & Operating Environment

	Interest Rates (Oct 2018)		FX (Local Currency v/s USD)		Inflation	GDP Growth
		Changes in Central Bank Rate		Change		
	CBR	(Year to Date)	31-Oct-18	Year to Date	Sep-18	(2018 Projected)
Kenya	9.0%	-100 Basis Points	102	1%	5.7%	6.2%
Tanzania	7.0%	-250 Basis Points	2,290	-2%	3.4%	6.8%
Uganda	10.0%	100 Basis Points	3,768	-3%	3.7%	5.8%
Rwanda	5.5%	0 Basis Points	893	-5%	-1.1%	7.2%
DRC			1,613	-1%	10.7%	3.3%

- **Monetary policy supportive of economic growth** – Central Bank rates reducing to stable across East Africa
- **Exchange rate** – Marginal depreciation of local currencies
- **Inflation** – Inflation within targeted range across East Africa
- **Strong economic growth outlook** - East Africa economic growth above 6% on average



Improvement in Macro-economic & Operating Environment

- **Strong economic growth outlook** – East and Central Africa one of the fastest growing regions in the world with economic growth expected to grow above 6% for the east Africa region
- **World Bank increased confidence in Kenya attractiveness** – Kenya Ease of Doing Business ranking by World Bank improved from position 80 to 61
- **KES strengthening** – Kes has continuously gained ground against the USD, regional peers and other SSA currencies. KES has gained 2%, 5%, 4%, 8% against USD, UGX, TZS and RWF respectively
- **Renewed vigour to fight economic crimes** – leading to heightened expectations on compliance for financial institutions
- **Establishment of Kenya Mortgage Refinance Company (KMRC)** – set to bolster liquidity for mortgage financiers and also promote the much needed Asset/Liability maturity match by the mortgage financiers

Macro-economic & Operating Environment

- **The continuous drop in CBR** – This has put pressure on Yields on Loans. The CBR is down 100 basis points in 2018
- **Uninterrupted increase in LIBOR rates** – the international debt market's LIBOR rates continues to depress Kenyan banks' Net Interest Margins. 6-month USD LIBOR closed Oct 2018 at 2.8% against 1.58% end of Oct 2017.
- **Parliament's surprise retention of interest capping law** – continues to hinder credit growth and rekindle revenue upswing. The abolition of interest rate floor on deposits however brings reprieve.



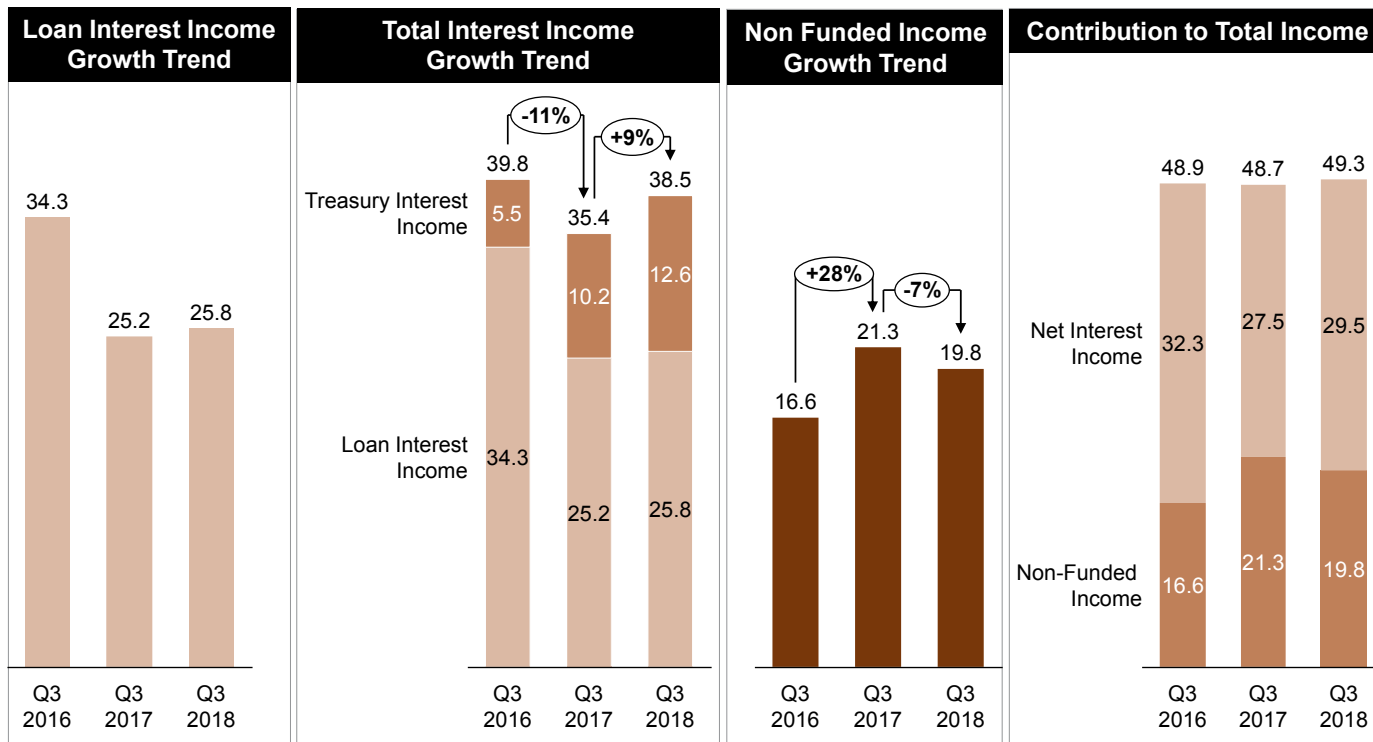
Equity Bank Business Model & Strategy- Post Interest Rate Capping (Adjusting and adapting to new norm)

Focus areas:

1. Non-funded income growth
2. Treasury
3. Geographical and business diversification
4. Strengthening liquidity and balance sheet agility
5. Innovation and digitization
6. Efficiencies and cost optimization
7. Asset quality
8. Impact Investment & Social Brand Development

Focus Area 1: Non-funded Income Growth & Contribution

In Kes Billion

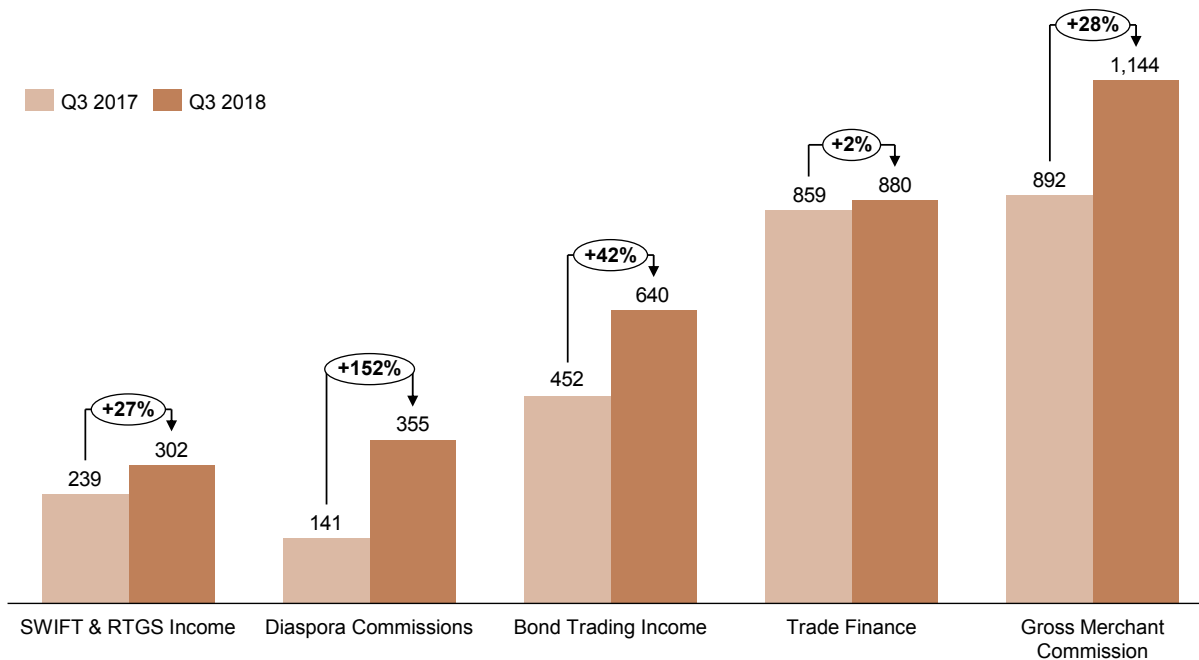




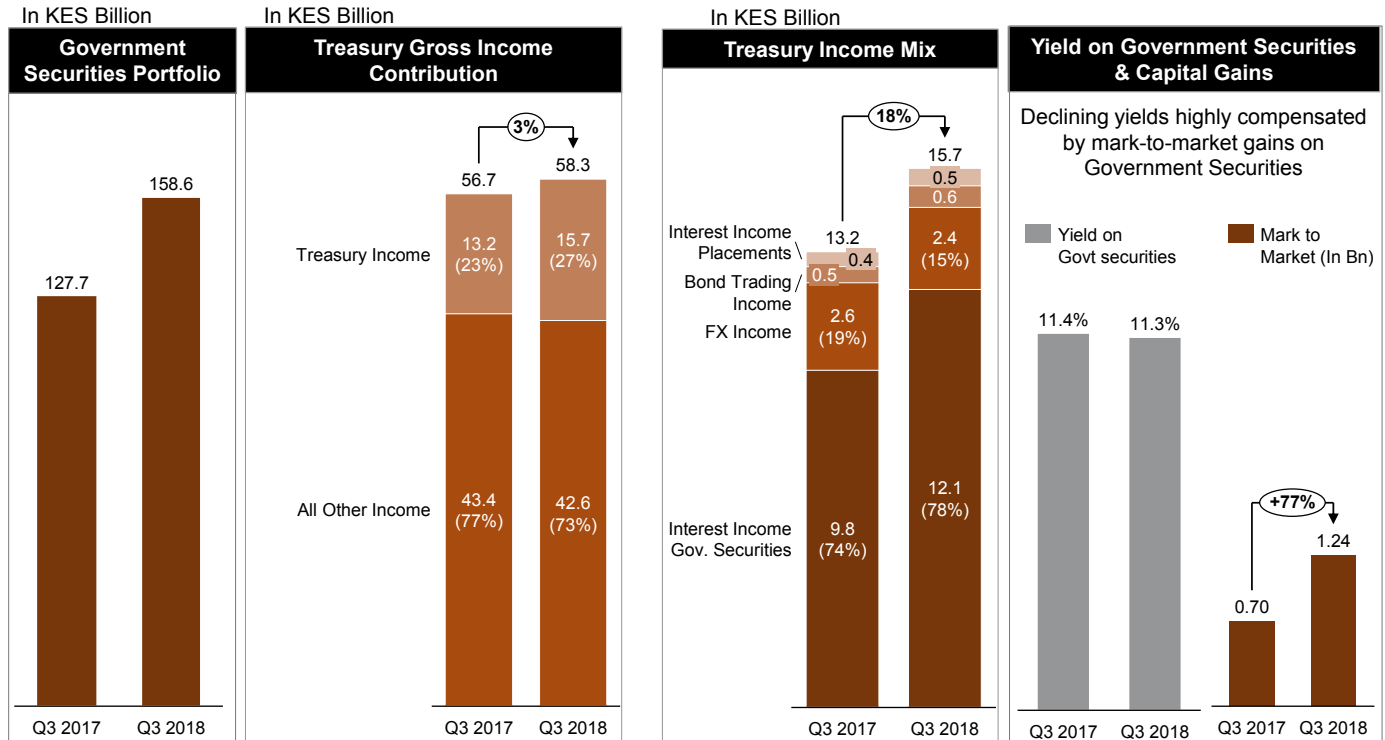
Focus Area 1: Growth of Diversified Streams of Non-funded Income

In Kes Million

Fees & Commissions (Key Lines - Kenya)



Focus Area 2: Treasury



Note: Income calculation above is before funding costs



Focus Area 3: Geographical & Business Diversification

- Double digit growth in profitability by all non-Kenyan subsidiaries
- Enhanced PAT contribution to Group at 18%

In KES Billion

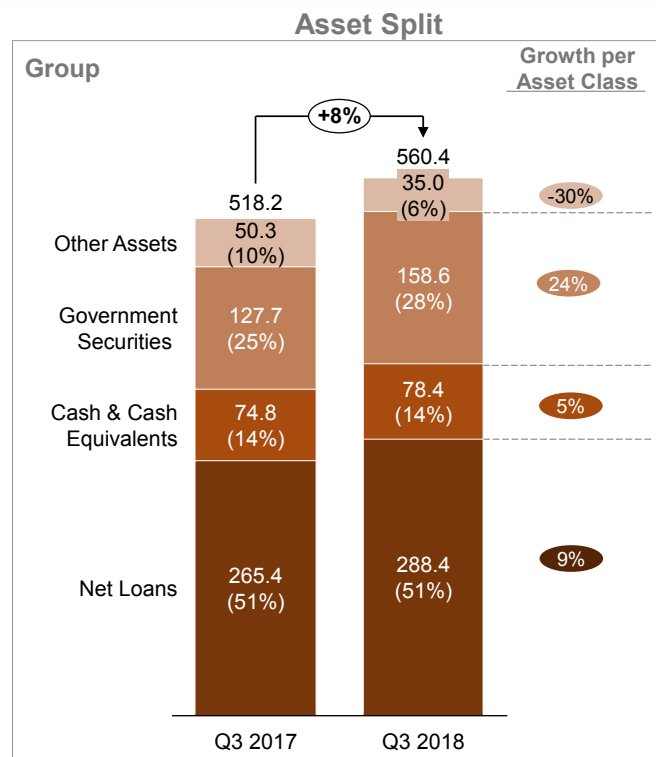
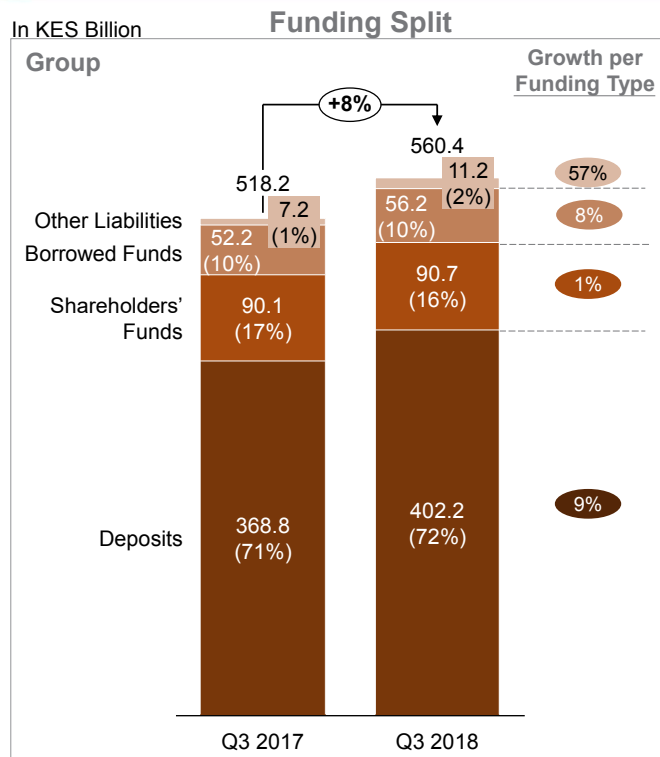
	Tanzania	Rwanda	Uganda	S. Sudan	DRC	EIA	EIB	Finserve	Total	EBKL	Diversification Contribution Q3 2018	Diversification Contribution Q3 2017
Deposit	19.7	19.3	22.1	5.3	41.7				108.2	309.9	26%	23%
<i>Growth</i>	8%	31%	25%	0%	41%				26%	7%		
Loan	17.3	13.9	17.4	0.1	24.0				72.7	215.6	25%	22%
<i>Growth</i>	3%	40%	42%	-20%	19%				23%	5%		
Assets	28.7	26.7	31.1	8.6	53.7	0.9	0.7	2.0	152.6	424.3	26%	23%
<i>Growth</i>	16%	39%	23%	0%	30%	34%	-33%	0%	24%	5%		
PBT	0.55	0.78	0.89	0.27	1.00	0.45	-0.01	0.09	4.0	18.27	18%	14%
<i>Growth</i>	39%	70%	35%	53%	117%	5%	-108%	-40%	41%	3%		
PAT	0.4	0.5	0.7	0.2	0.6	0.3	0.0	0.1	2.9	12.79	18%	14%
<i>Growth</i>	39%	70%	29%	15%	194%	5%	-112%	-58%	37%	3%		

Focus Area 3: Geographical & Business Diversification





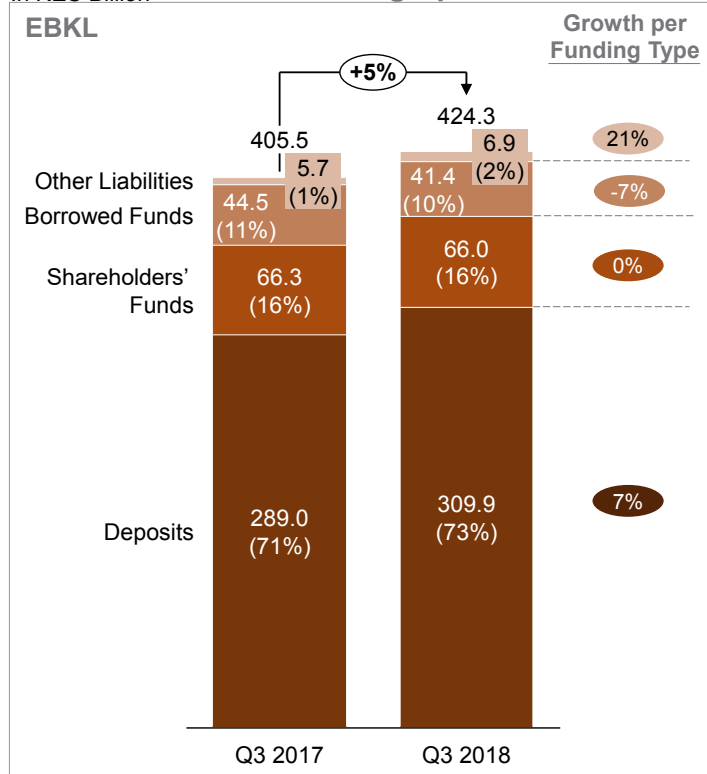
Focus Area 4: Balance Sheet Agility



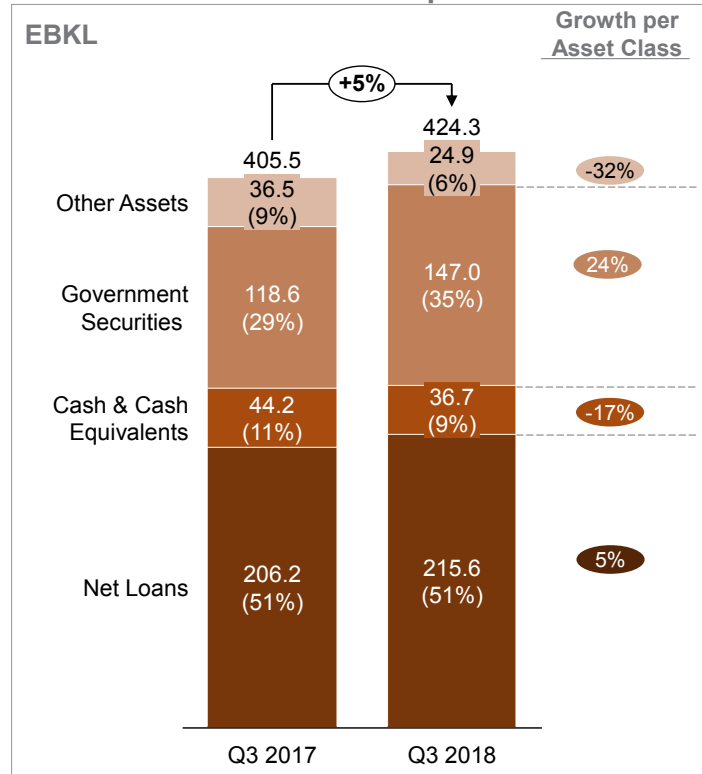
Focus Area 4: Balance Sheet Agility

In KES Billion

Funding Split



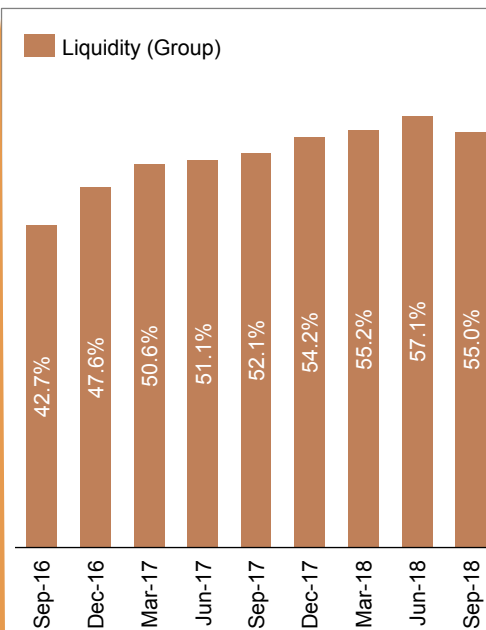
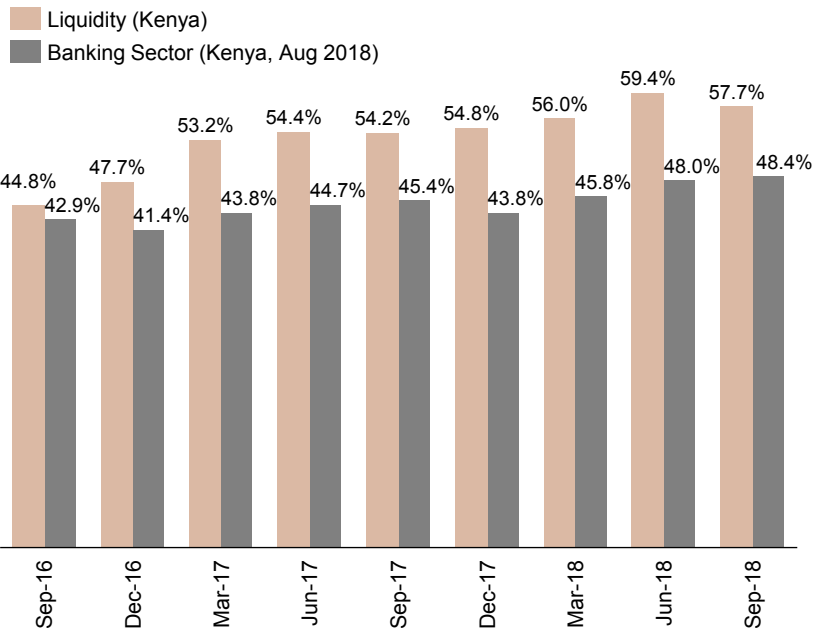
Asset Split





Focus Area 4: Balance Sheet Agility

58% liquidity ratio makes the balance sheet agile for opportunistic growth & diversification strategies in case of change in the operating environment



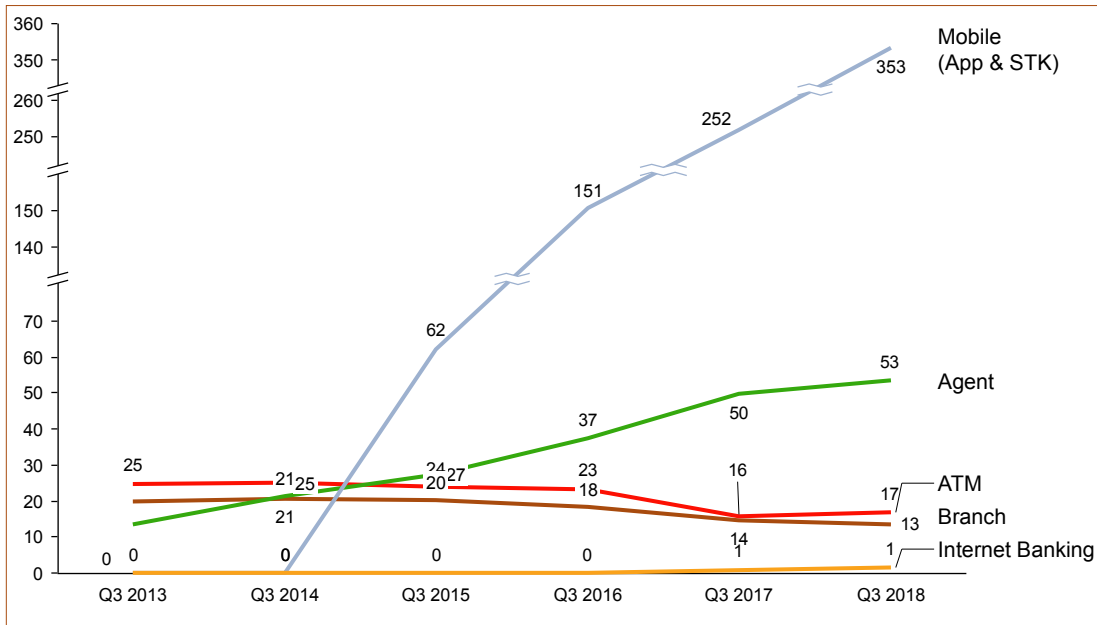
Source: CBK

Focus Area 5: Innovation & Digitization

Transformation from a place you go to; to something you do

- Most transaction are now done using the digital channels which have continued to grow
- Transforming the cost structure of the bank from **fixed cost** to **variable cost** with minimal investments due to use of 3rd party infrastructure

Transactions in millions





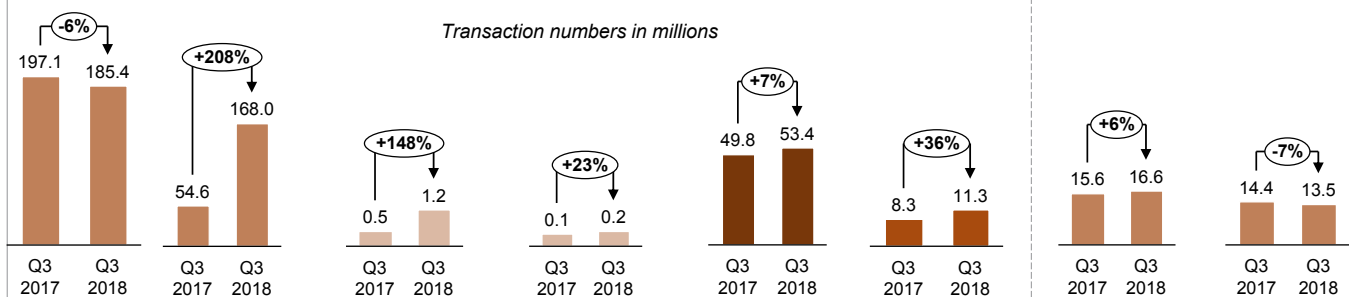
Focus Area 5: Innovation & Digitization

Leveraging Off Variable Cost 3rd Party Infrastructure

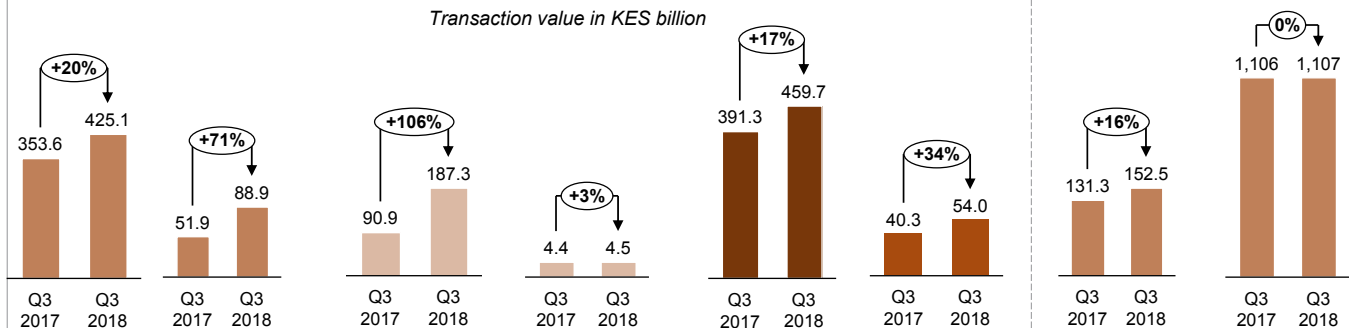
Variable cost channels

Fixed cost channels

Transaction numbers in millions



Transaction value in KES billion

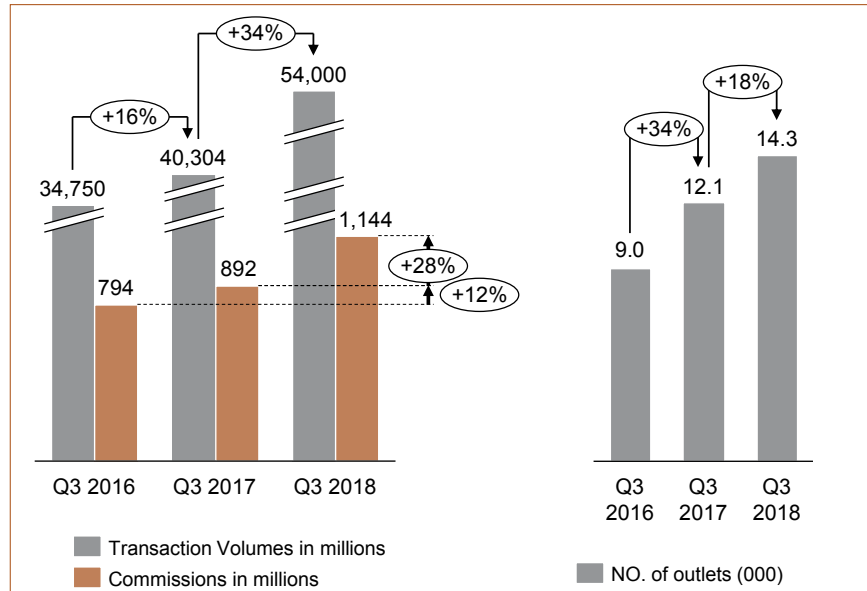


Focus Area 5: Fintech Innovations in Merchant Banking

- The use of a Universal POS that converges Mobile Wallets, Cards & Digital payments

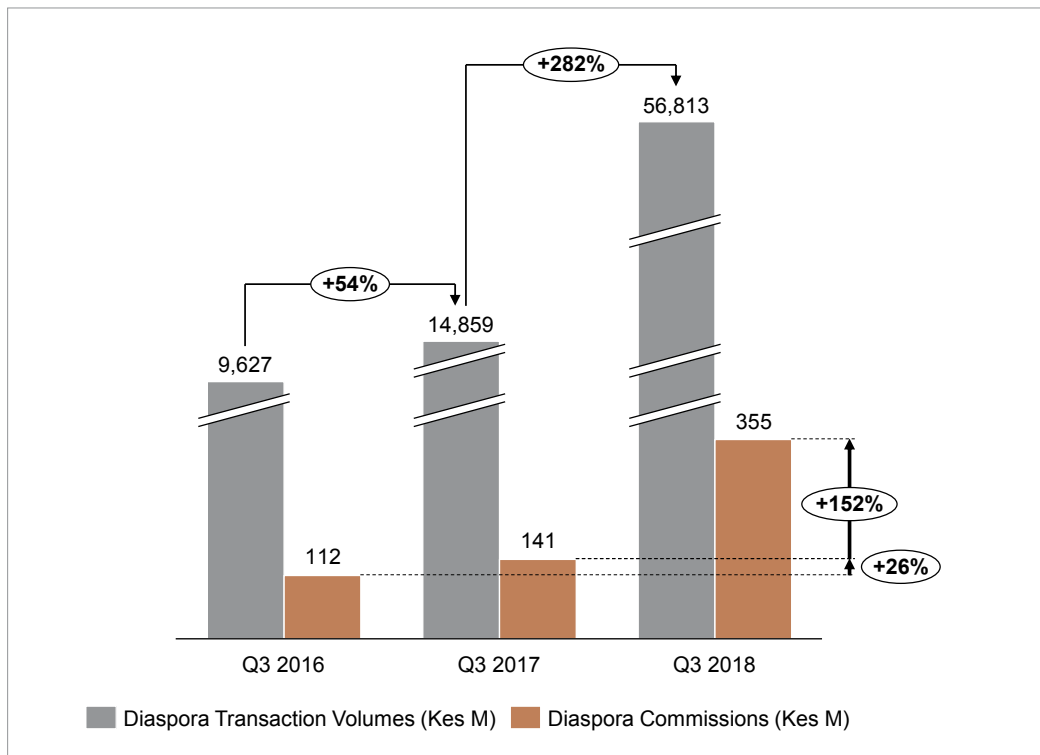


- Equity is leading in **Acquiring and Issuing**
- Best in class payment channel** services work well with merchants





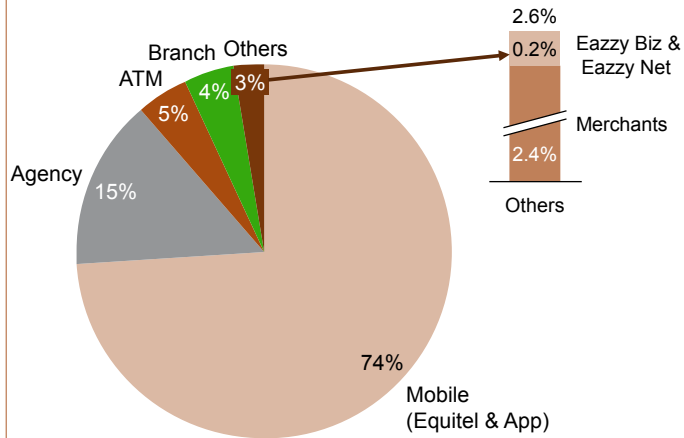
Focus Area 5: Fintech Innovations in Diaspora Remittances (KES millions)



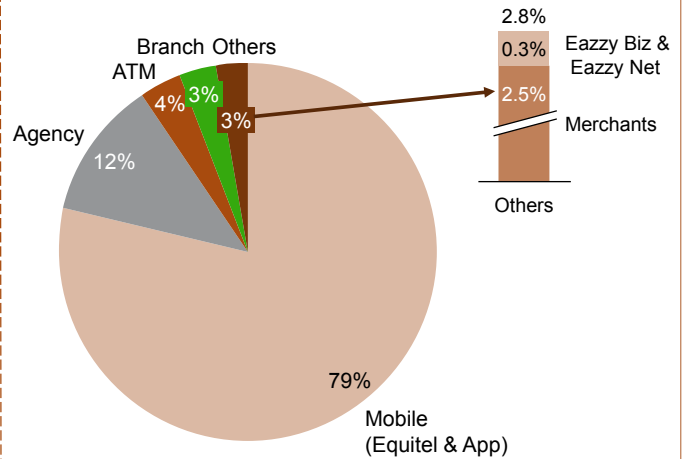
Focus Area 5: Fintech Innovation & Digitization

97% of our Transactions outside the branch

Q3 2017



Q3 2018

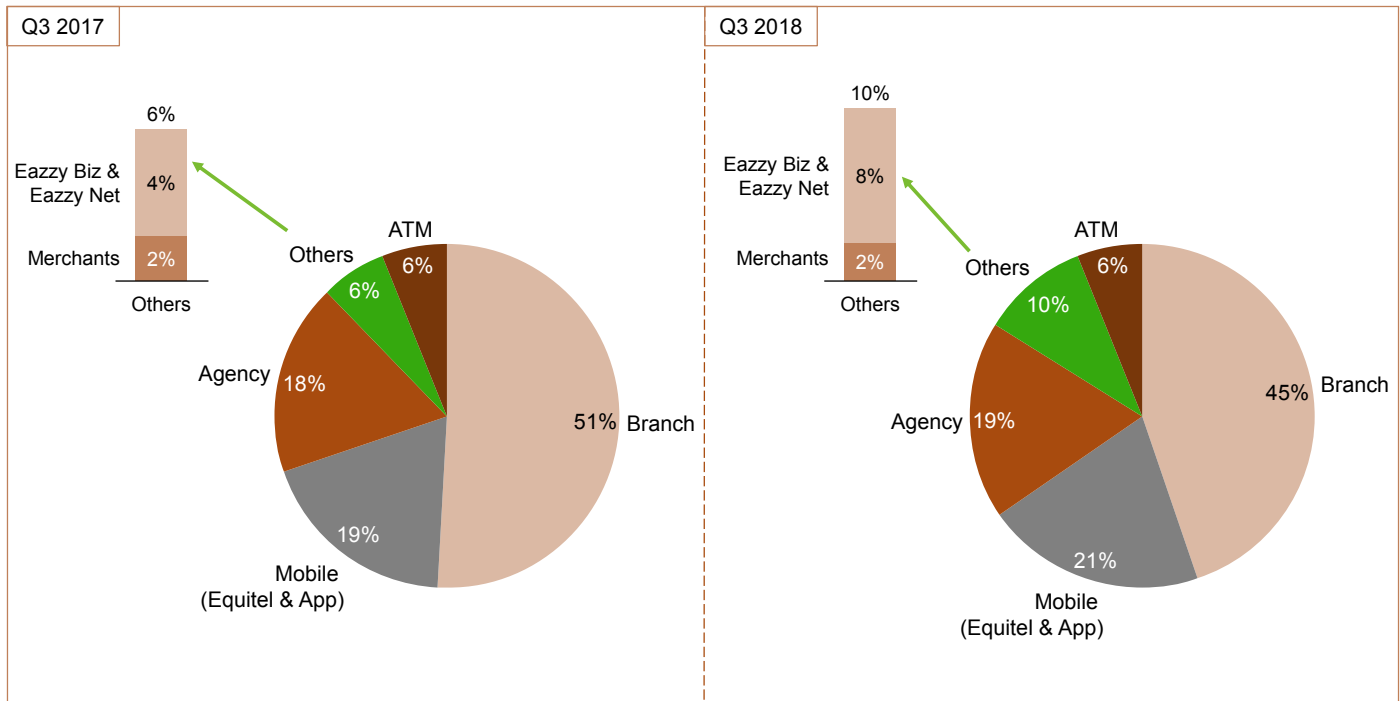




Focus Area 5: Fintech Innovation & Digitization

55% of our Transactions Value outside the branch

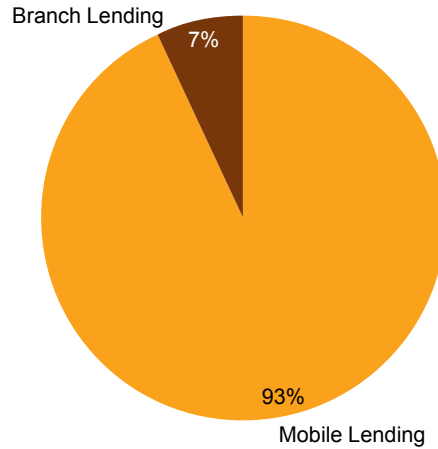
Branches now handling high value transactions for SME, corporates and high network individuals



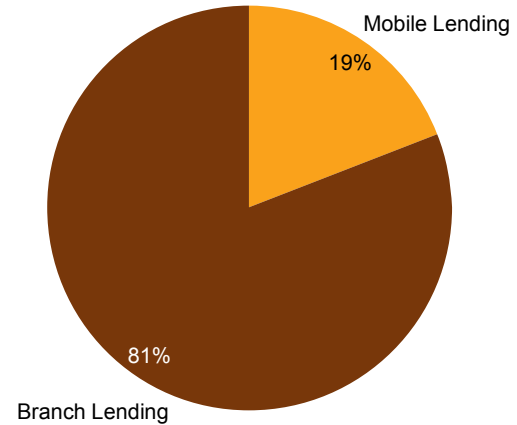
Focus Area 5: Fintech Innovation & Digitization

93% of our Loan Transactions via Mobile Channel

Q3 2018 Transaction count



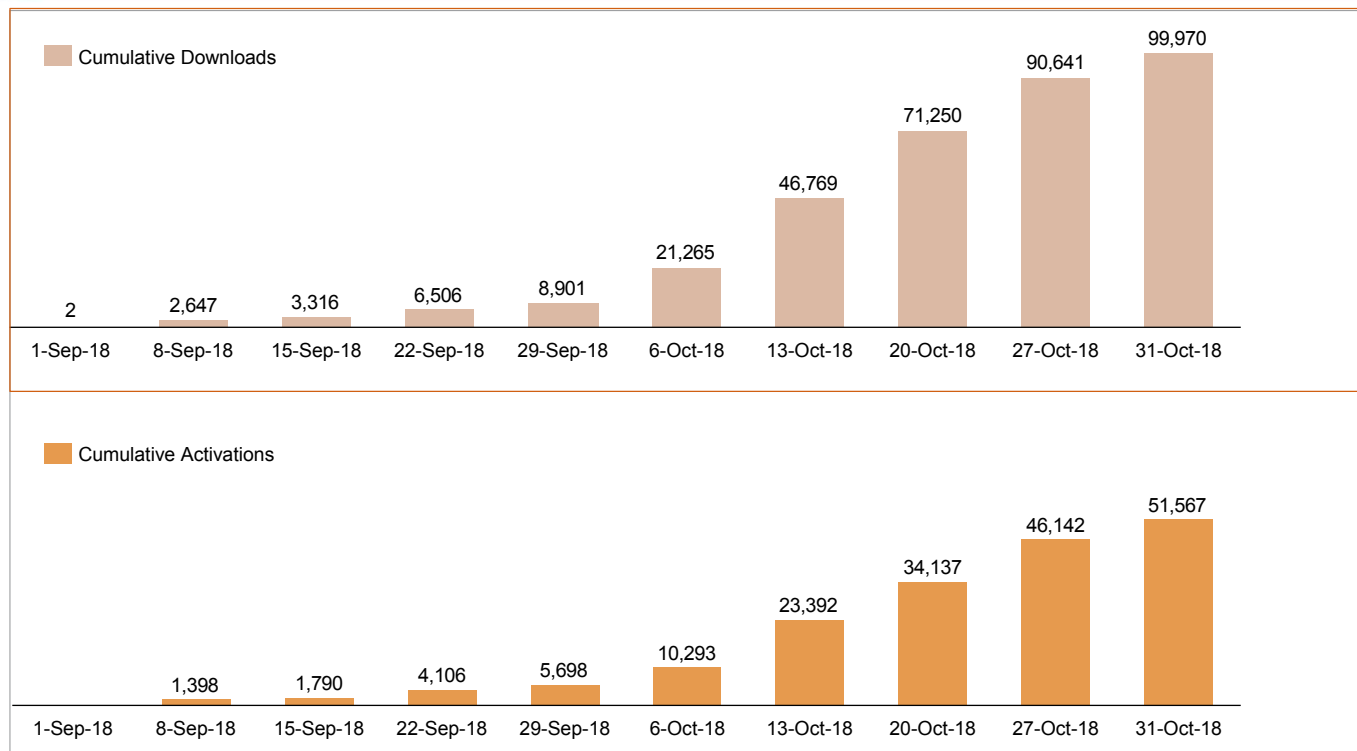
Q3 2018 Transaction value





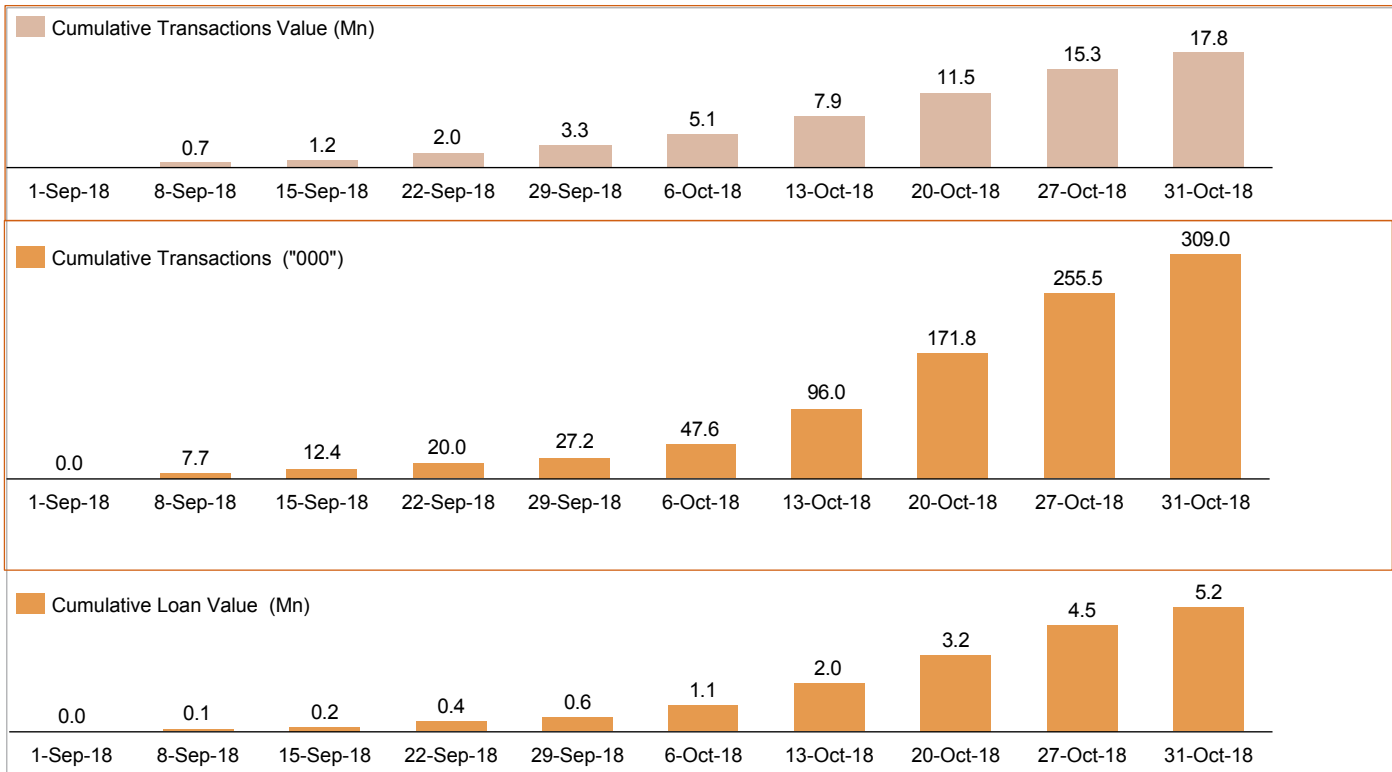
Focus Area 5: Fintech Innovation & Digitization

Finserve's M-KEY



Focus Area 5: Fintech Innovation & Digitization

Finserve's M-KEY

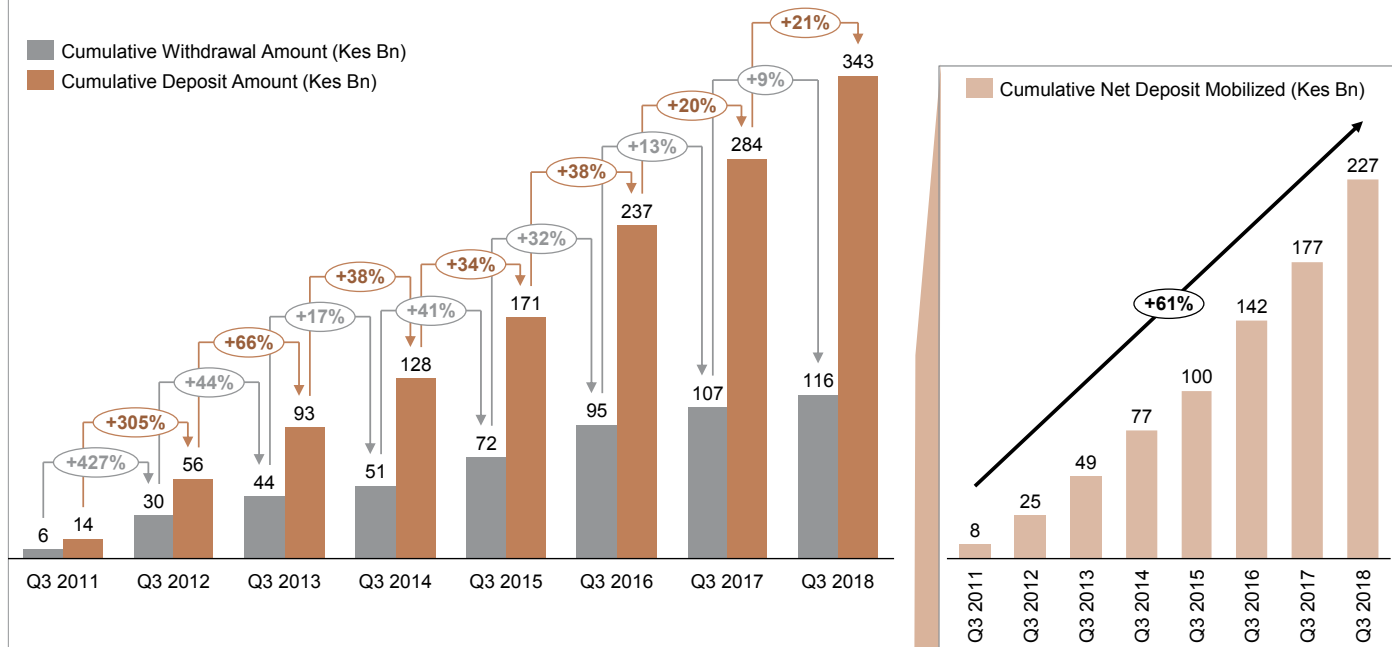




Focus Area 5: Fintech Innovation & Digitization

Agency model becoming a net deposit mobilizer

Agent Deposits growing an increasingly higher rate than **Agent Withdrawals** thus creating an **exponential growth in Net Cash Deposited**

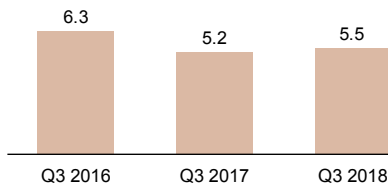


Quarterly cumulative data

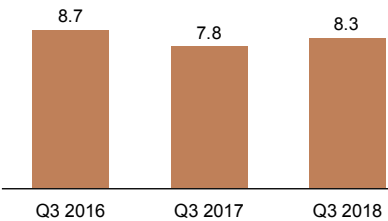
Focus Area 6: Efficiencies & Cost Optimization

Staff Cost Trend

EBKL

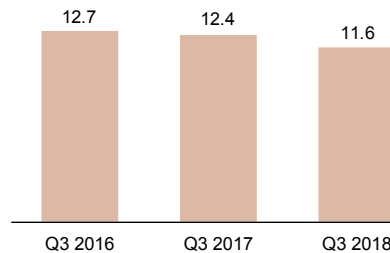


Group

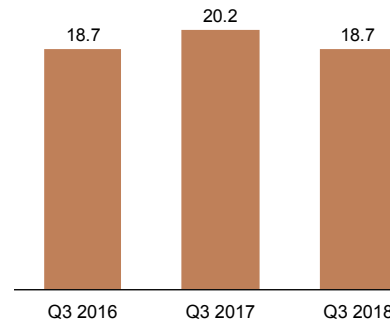


Other Expenses Trend (excluding staff cost)

EBKL

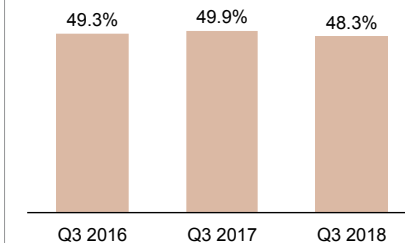


Group

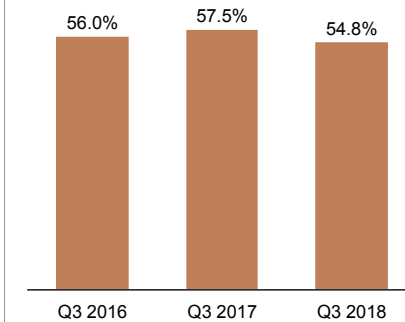


Cost to Income Ratio Trend (Including Loan Loss Provision)

EBKL



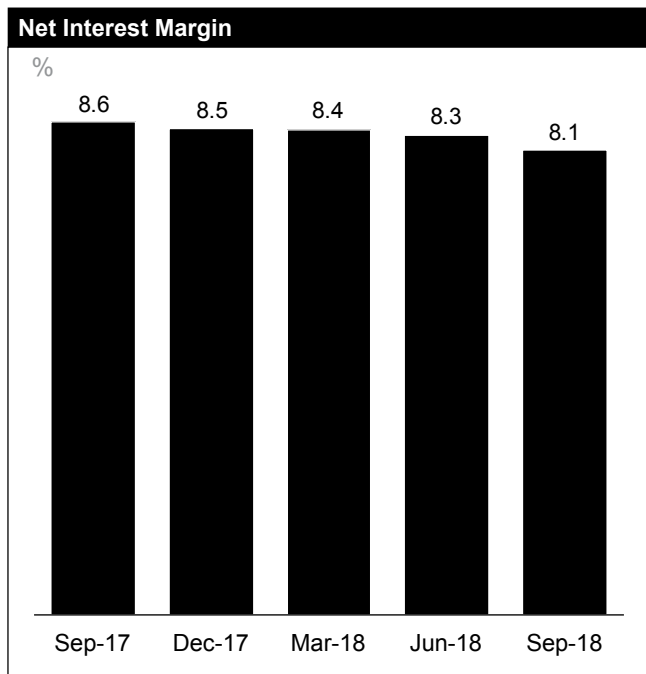
Group



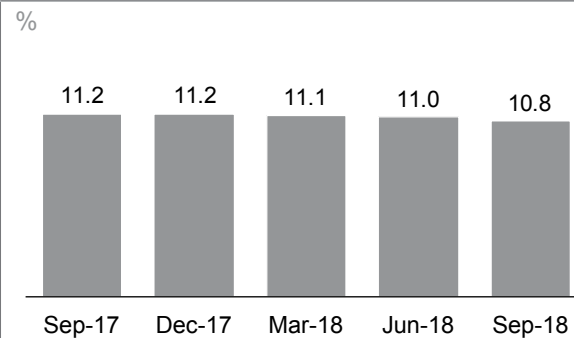


Focus Area 6: Efficiencies & Cost Optimization

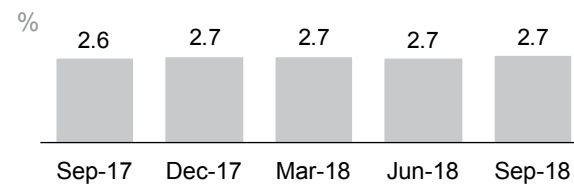
Group



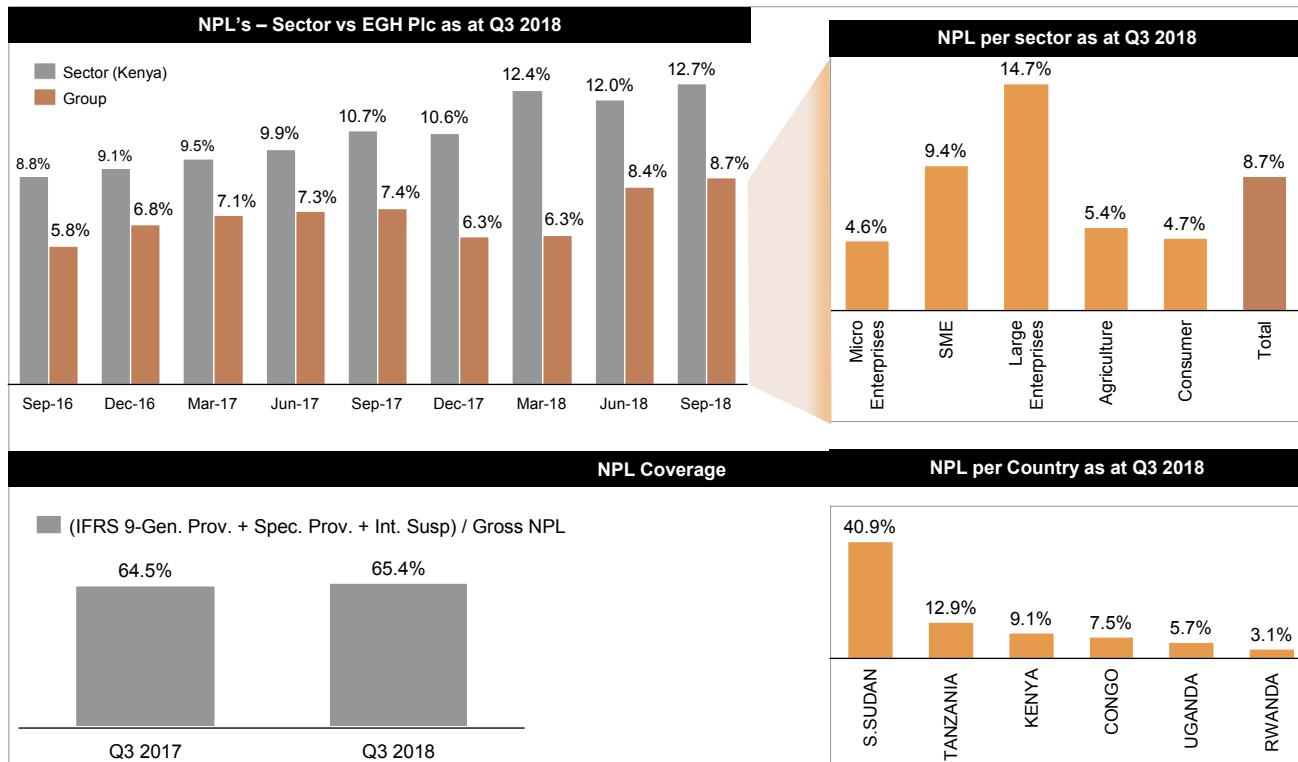
Yield on Interest Earning Assets



Cost of funds



Focus Area 7: Asset Quality (Group)

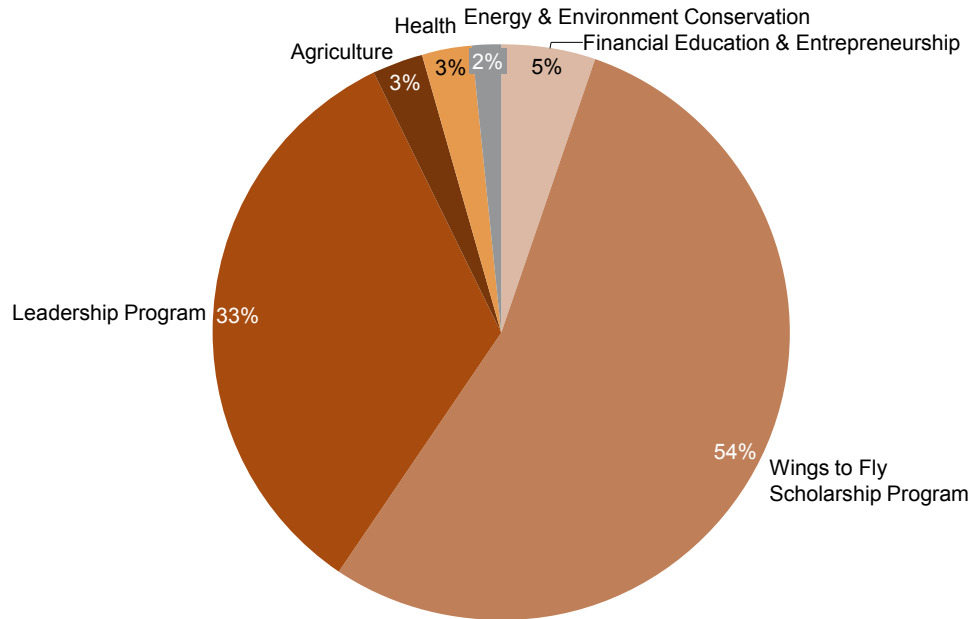


NB: The sector NPL of 12.7% is for Aug 2018



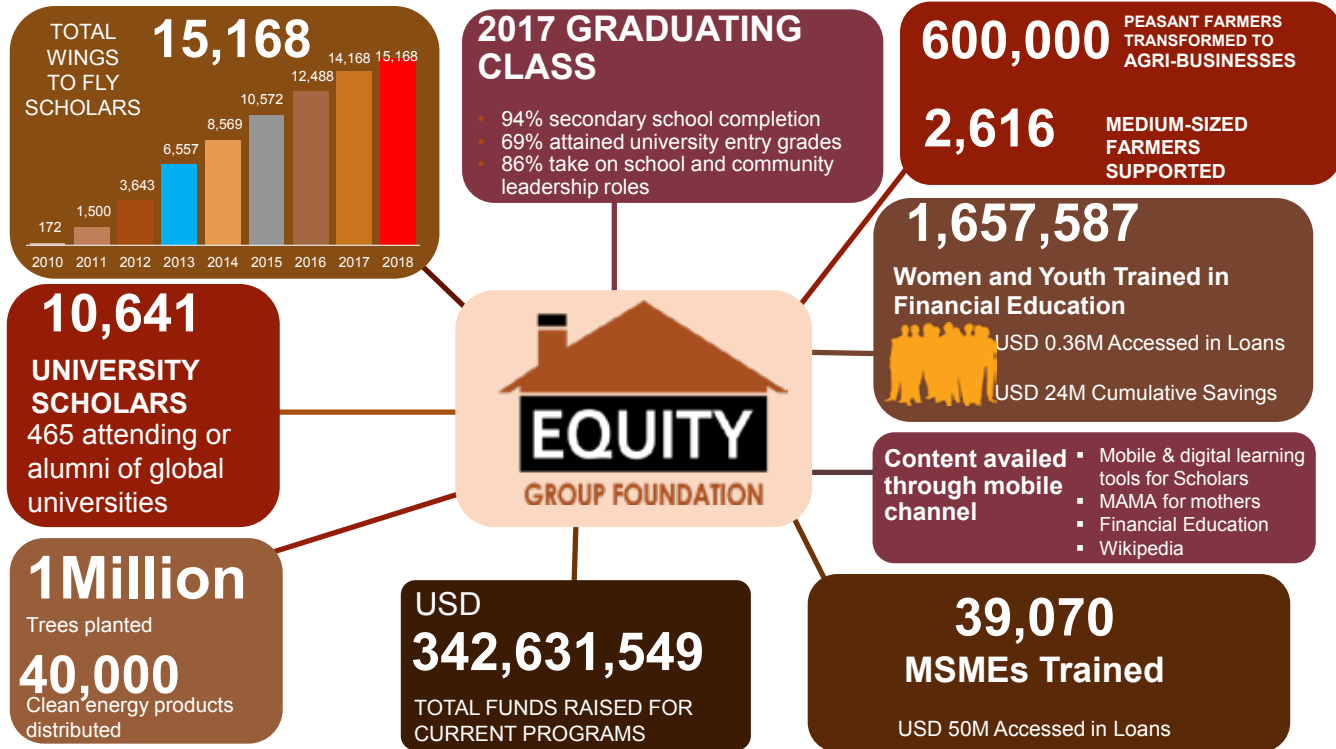
Focus Area 8: Impact Investment Impact & Social Investment Programs

USD 343 M in Social Investment Programs



Focus Area 8: Impact Investment

Shared Prosperity Business Model and its Social Impact



EQUITY CENTRE

Business Validation



Global Ratings & Accolades



MOODY'S

Equity Bank Credit Rating

National Rating: Aa3.ke/KE-1

Global Rating: B2

Rating Outlook: Stable

Same as the sovereign rating



GCR

GLOBAL CREDIT RATING CO.

Local Expertise • Global Presence

Equity Bank Credit Rating

Long Term Rating: AA-

Short Term Rating: A1+

Rating Outlook: Stable

The Banker
TOP 1000
WORLD BANKS 2018

The Banker Top 1,000 World Banks Awards

Position 11 globally on Return on Assets

Position 35 globally on Soundness (Capital Assets Ratio)

Position 44 globally on Profits on Capital

Position 799 globally Largest Bank



EuroMoney Awards for Excellence

Kenya's Best Bank



Global Ratings & Accolades

	Brand	Equity Bank has been recognised for the last 10 years consecutive since 2007 as the Top Banking Superbrand in Kenya and in East Africa in 2008 and 2009
	Brand	EABC Chairman's Award- Overall Best Regional Company Best East African Company- CSR Best East African Company- Financial services (1st Runners up)
	Brand	Best Commercial Bank – East Africa Best Commercial Bank – Kenya Most Innovative Bank – Kenya
	Product	Best Digital Offering – East Africa
	Leadership	Banker of the Year – Dr. James Mwangi CEO Equity Bank for the second year in a row

2018 National Banking Awards & Accolades



Best Bank in Kenya for the 7th time.

Total Awards won in 2018 - 22

Brand	1. Overall Best Bank in Kenya 2018 2. Best Bank in Tier 1 3. Best bank in Sustainable Corporate Social Responsibility 4. The Most Customer-centric Bank 5. The Bank with the Lowest Charges for Individuals
Franchise Segmentation	1. Best Bank in SME Banking 2. Best Bank in Retail Banking 3. Best Bank in Agency Banking 4. Best Bank in Mobile Banking 5. Best Bank in Digital Banking 6. Best Commercial Bank in Micro-Finance 7. Best Bank in Corporate Banking - 2nd Runners Up
Product	1. Best Bank in Internet Banking 2. Best Bank in Asset Finance 3. Best Bank in Product Marketing 4. Best Bank in Product Innovation - 1st Runners Up 5. Best Bank in Mortgage Finance - 1st Runners Up 6. Best Bank in Trade Financing - 1st Runners Up 7. Best Bank in Agriculture and Livestock Financing - 2nd Runners Up 8. Special Judges Awards for Product Innovation - Equity Afia
Leadership	1. Chief Executive Officer of the Year: Dr. James Mwangi for the second year in a row 2. Outstanding Young Banker of the Year: Daniel Gachau for the second year in a row from Equity Bank

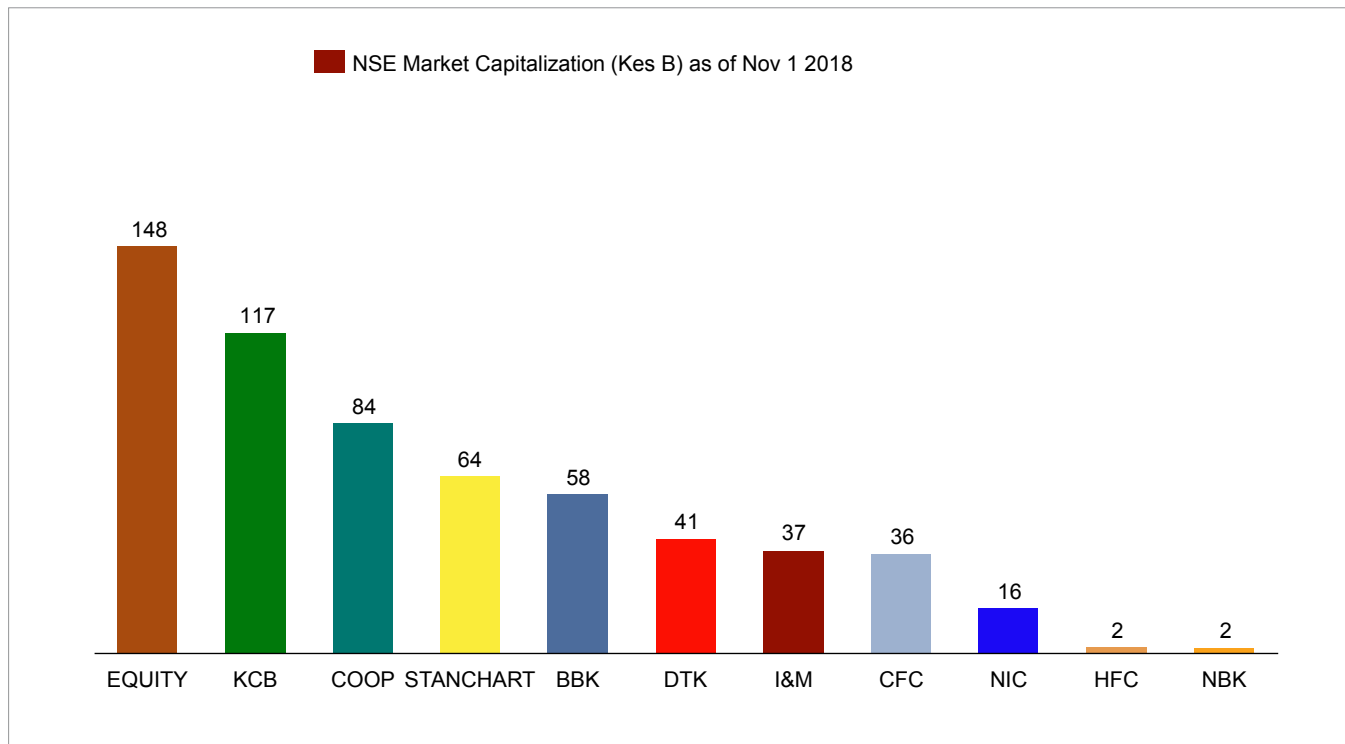


2018 National Banking Awards & Accolades

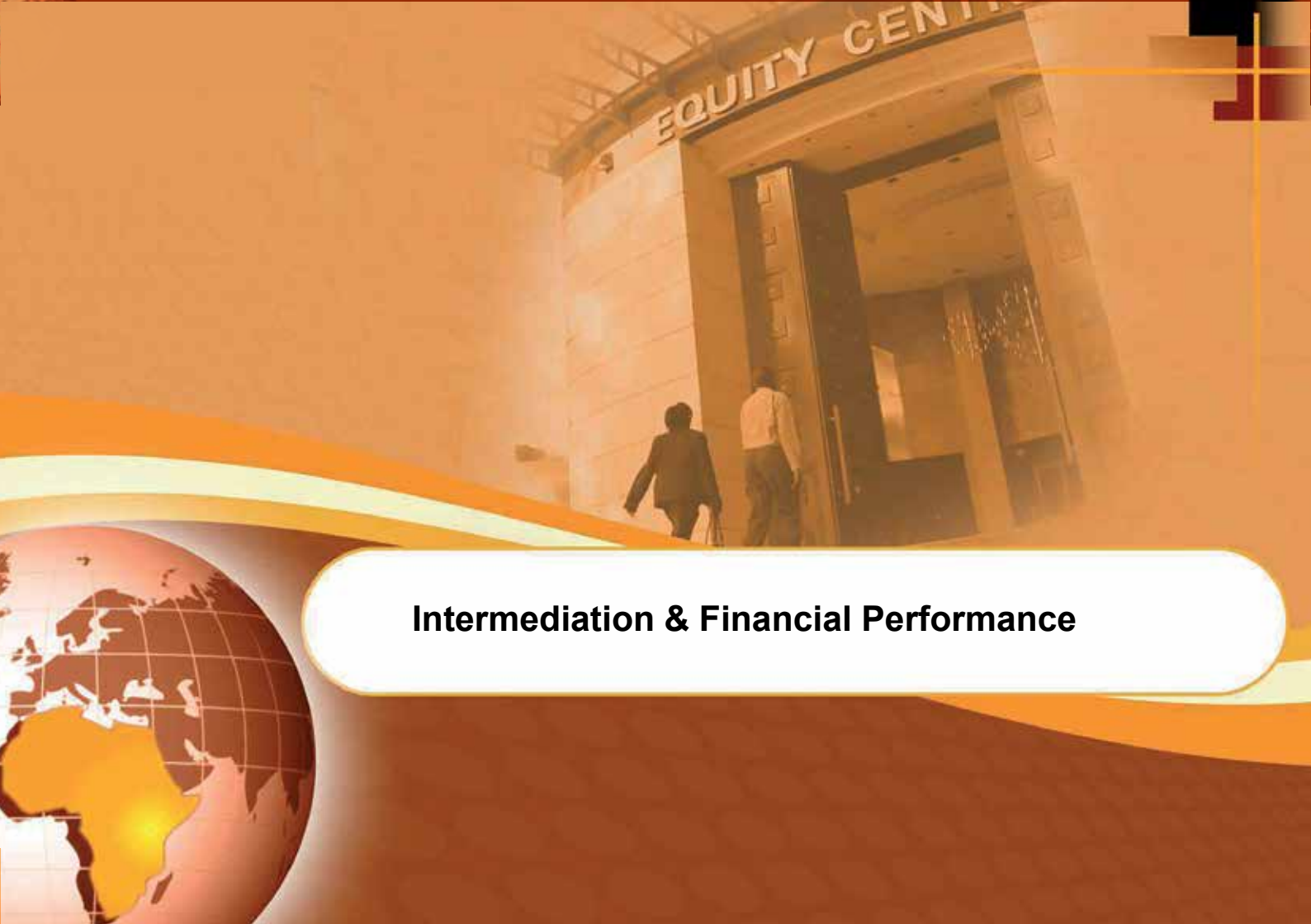


Market Validation

Market Capitalization



Source: Financial Times

The background of the slide features a photograph of a modern building entrance with the words "EQUITY CENTRE" in large, metallic letters above the doorway. Two people are walking away from the camera into the building. The entire image has a warm, orange-toned overlay. In the bottom left corner, there is a stylized globe showing the continents of Africa and Europe. A decorative orange and yellow wavy line runs horizontally across the middle of the slide, partially obscuring the building image.

EQUITY CENTRE

Intermediation & Financial Performance

Balance Sheet

	Q3 2017	Q3 2018	Growth
Assets			
Net Loans	265.4	288.4	9%
Cash & Cash Equivalents	74.8	78.4	5%
Government Securities	127.7	158.6	24%
Other Assets	50.3	35.0	-30%
Total Assets	518.2	560.4	8%
Liabilities & Capital			
Deposits	368.8	402.2	9%
Borrowed Funds	52.2	56.2	8%
Other Liabilities	7.2	11.2	57%
Shareholder's Funds	90.1	90.7	1%
Total Liabilities & Capital	518.2	560.4	8%



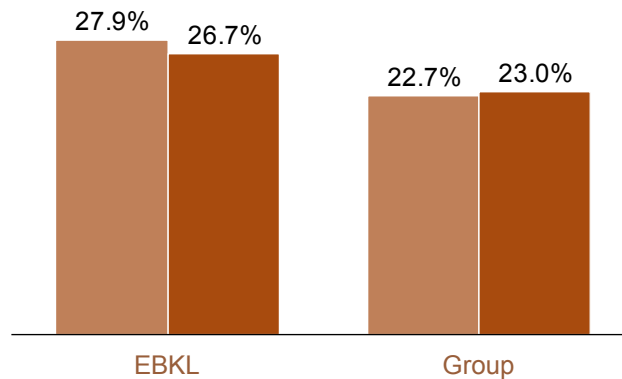
8% Growth in PAT

KES (Billion)	GROUP		
	Q3 2017	Q3 2018	Growth %
Interest Income	35.4	38.5	9%
Interest Expense	-7.9	-9.0	13%
Net Interest Income	27.5	29.5	7%
Non-Funded Income	21.3	19.8	-7%
Total Income	48.7	49.3	1%
Loan Loss Provision	-2.9	-1.3	-54%
Staff Costs	-7.8	-8.3	6%
Other Operating Expenses	-17.3	-17.3	0%
Total Costs	-28.0	-26.9	-4%
PBT	20.7	22.4	8%
Tax	-6.1	-6.6	8%
PAT	14.6	15.8	8%

RoAE & RoAA Trend

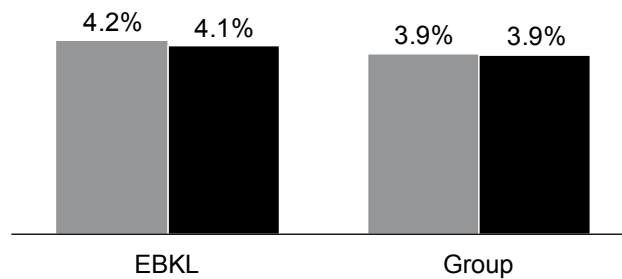
RoAE

■ Q3 2017 ■ Q3 2018



RoAA

■ Q3 2017 ■ Q3 2018





Financial Ratios

	EBKL Q3 2017	EBKL Q3 2018	Group Q3 2017	Group Q3 2018
Profitability				
Yield on Loans	11.6%	11.1%	12.6%	12.1%
Yield on Government Securities	11.3%	11.5%	11.4%	11.3%
Yield on Interest Earning Assets	10.9%	10.7%	11.2%	10.8%
Cost of Deposits	2.3%	2.2%	2.4%	2.4%
Cost of Funds	2.6%	2.6%	2.6%	2.7%
Net Interest Margin	8.3%	8.1%	8.6%	8.1%
Cost to Income Ratio (with provisions)	49.9%	48.3%	57.5%	54.6%
Cost to Income Ratio (without provision)	44.4%	47.0%	51.6%	51.9%
RoAE	27.9%	26.7%	22.7%	23.0%
RoAA	4.2%	4.1%	3.9%	3.9%
Asset Quality				
Cost of Risk	1.2%	0.3%	1.4%	0.6%
Leverage				
Loan / Deposit Ratio	71.3%	69.6%	72.0%	71.7%
Capital Adequacy Ratios				
Core Capital to Risk Weighted Assets	15.5%	14.8%	19.8%	18.0%
Total Capital to Risk Weighted Assets	16.2%	14.8%	20.5%	18.0%
Liquidity				
Liquidity ratio	54.2%	57.7%	52.1%	55.0%

2018 Outlook – Group

	Group	
	2018 Outlook	Q3 2018 Actual
Loan Growth	10% - 15%	8.6%
Deposit Growth	5% - 15%	9.1%
Net Interest Margin	8.5% - 10%	8.1%
Non Funded Income Mix	42% - 45%	40%
Cost to Income Ratio	48% - 52%	51.9%
Return on Equity	22% - 25%	23.0%
Return on Assets	3.8% - 4.5%	3.9%
Cost of Risk	0.8% - 1.2%	0.6%
NPL	4% - 5.5%	8.7%
Subsidiaries Contribution (Assets)	25% - 30%	26%
Subsidiaries Contribution (PBT)	20% - 25%	18%



Ratios - Banking Subsidiaries

RoAE		
Subsidiary	Q3 2017	Q3 2018
EBKL	27.90%	26.66%
EBUL	25.32%	23.32%
EBRL	14.58%	21.96%
EBTL	11.89%	16.44%
DRC	5.93%	15.94%
EBSSL	6.90%	8.18%

Cost-to-Income Ratio		
Subsidiary	Q3 2017	Q3 2018
EBKL	44.42%	47.04%
EBUL	57.00%	61.71%
EBRL	58.63%	51.23%
EBTL	66.91%	62.25%
DRC	81.91%	68.61%
EBSSL	90.09%	66.14%

RoAA		
Subsidiary	Q3 2017	Q3 2018
EBKL	4.22%	4.11%
EBUL	3.48%	3.23%
EBRL	2.44%	3.01%
EBTL	1.53%	1.89%
DRC	0.89%	2.01%
EBSSL	2.36%	3.16%

Cost-to-Asset Ratio		
Subsidiary	Q3 2017	Q3 2018
EBKL	6.00%	5.47%
EBUL	10.66%	8.20%
EBRL	7.93%	6.03%
EBTL	7.09%	5.63%
DRC	12.46%	10.52%
EBSSL	21.46%	8.23%

EQUITY CENTRE



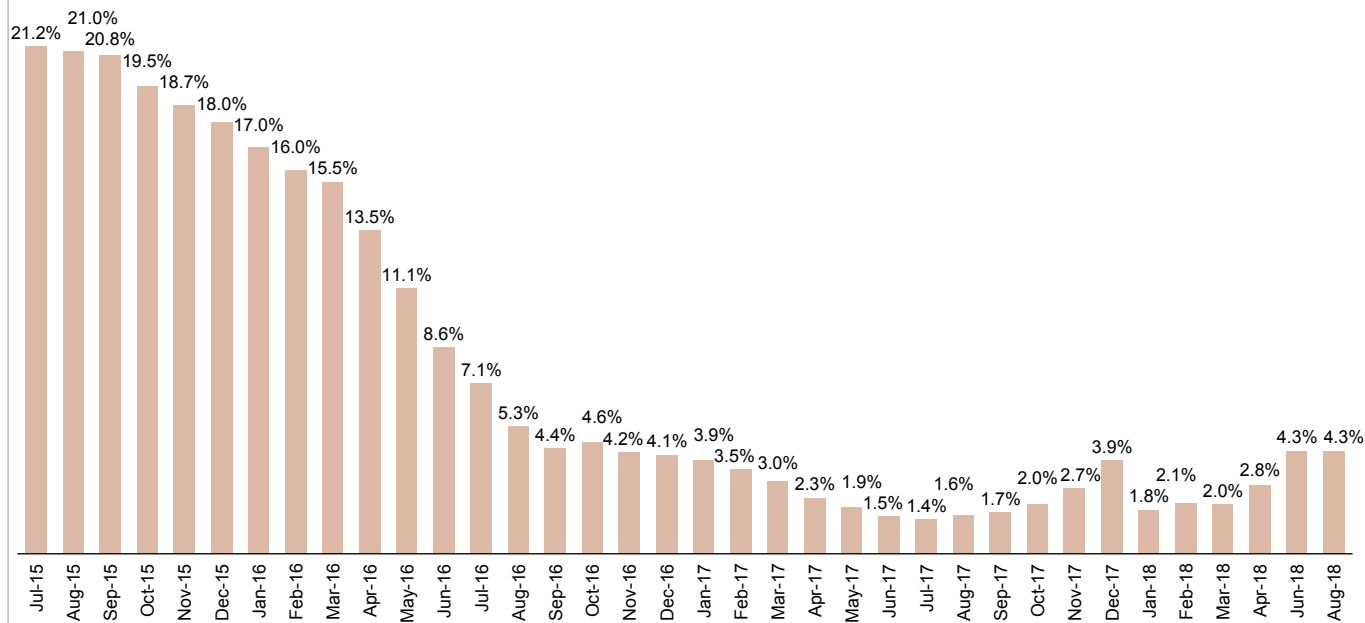
Appendix





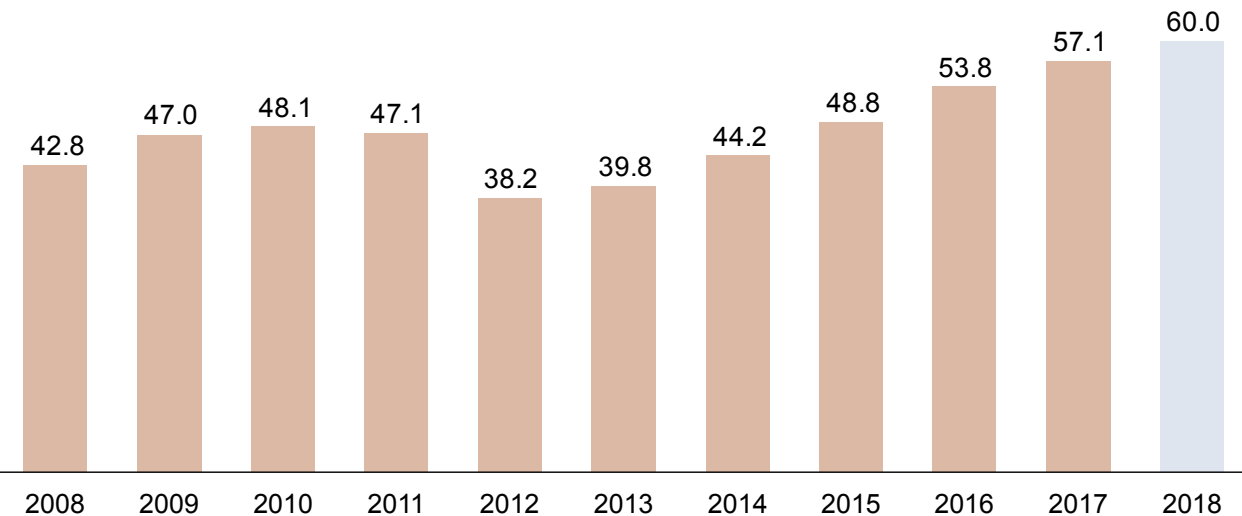
Private Sector Credit Growth Trend

Private sector credit growth continues to be subdued mainly as a result of the interest rate capping effects



Debt to GDP

Kenya recorded a government debt equivalent to 57.1 percent of the country's Gross Domestic Product in 2017. This is expected to continue increasing trending at around 60 percent in 2018 and 65 percent in 2020.

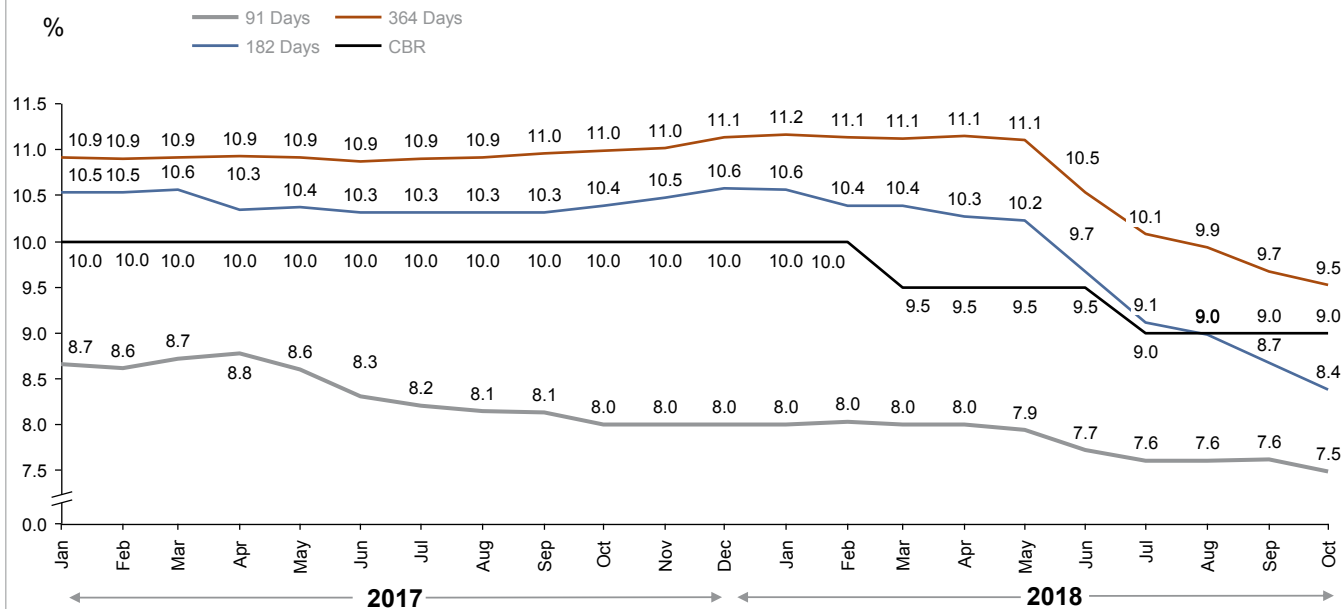


Source: Trading Economics



Interest Rates - Kenya

The Monetary Policy Committee (MPC) met on 30th Jul and reduced the Central Bank Rate (CBR) by 50 basis point to 9.0% from 9.5% in a response to a below-potential economic output.

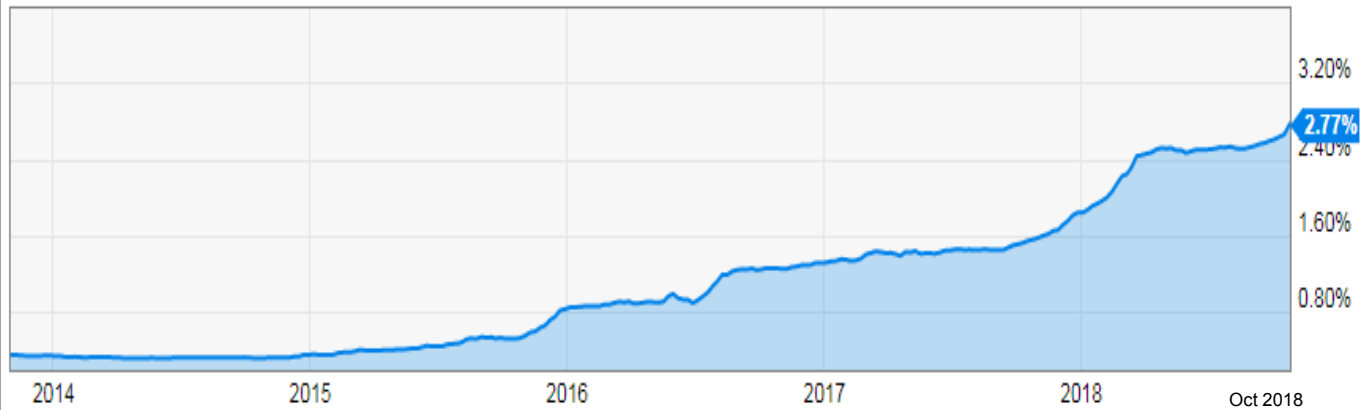


Global Interest Rates

USD Interest rates continue maintaining a growth trajectory adding pressure to Net Interest Margins for Kenyan banks with USD Debt.

Equity Bank remains vigilant on its gross yields on USD Loans so as to adjust with any shift in cost of USD funds.

USD 6 Month LIBOR

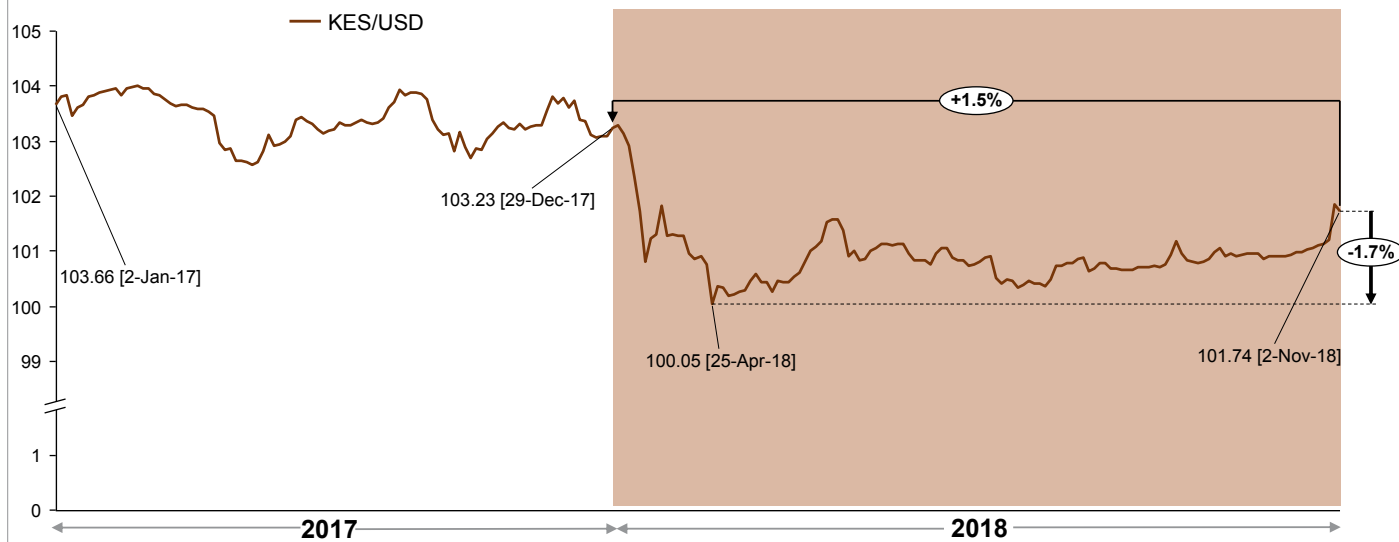




Foreign Exchange – Kenya

YoY the **Shilling has gained ground** against the USD as 2018 recovers from **drought** and **political rivalry** that characterized 2017. **Global oil prices steep recovery** from Apr 2018 has however put slight pressure on the Shilling. The **recently introduced VAT** on fuel prices is expected to contribute further stress to the Shilling.

Growth in Diaspora Remittances and **tourism** supported by the recent launch of **Kenya-US Direct Flight** is likely to ease the fuel pressure on the Shilling

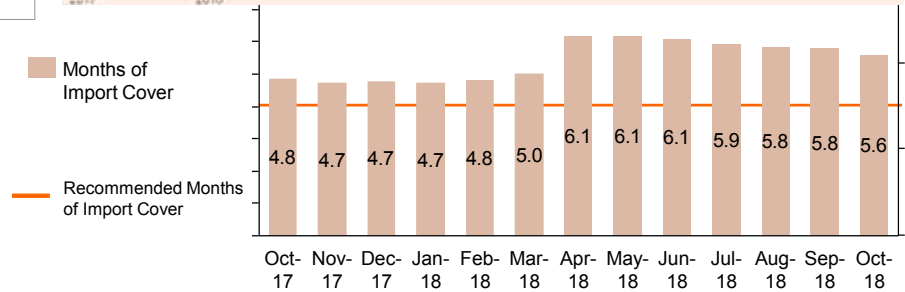


Foreign Reserves – Kenya

Crude Oil Prices

Recovery of global oil prices has contributed to the shrinking of FX reserves putting pressure on the Shilling from Apr 2018

FX reserves however remain above the recommended 4 months.

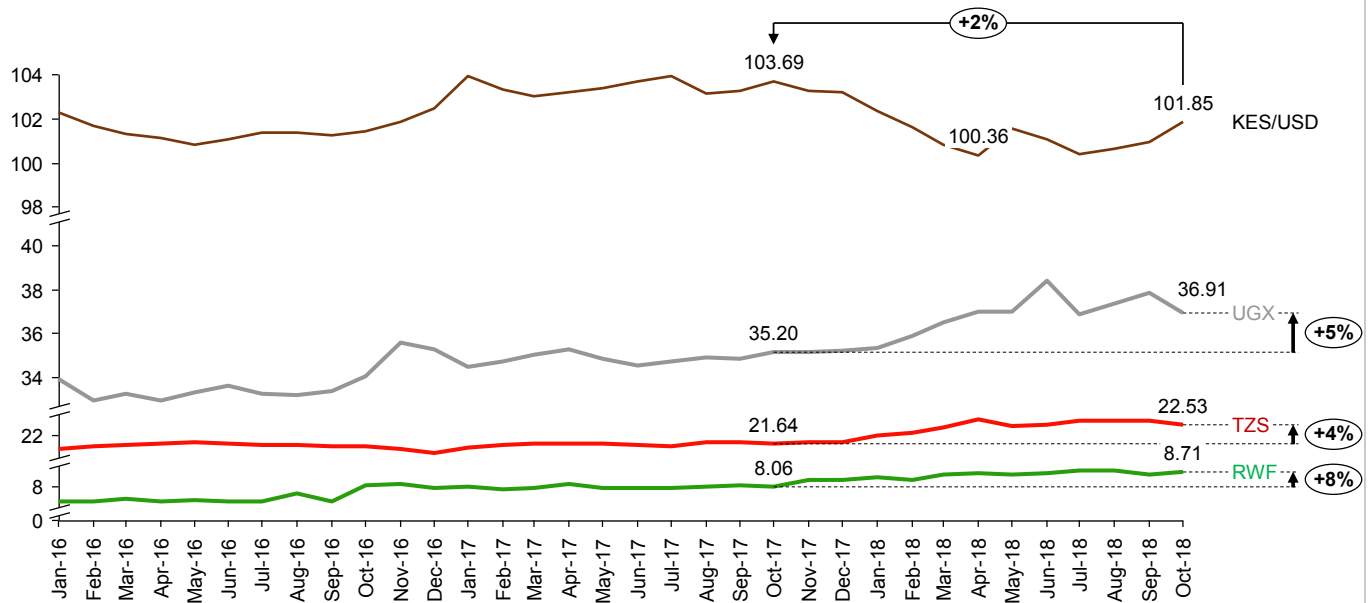


Source: CBK & Financial Times



FX – Selected East Africa Countries

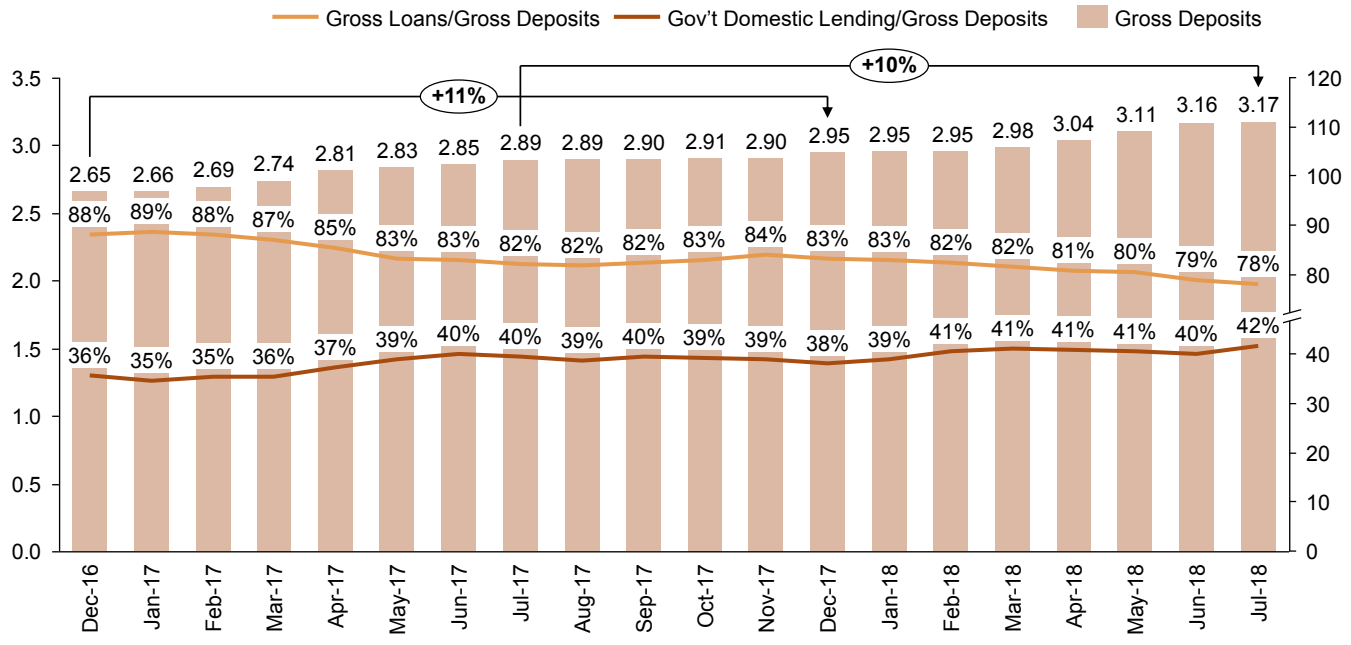
KES has gained ground against her East African peers and **against the USD** YoY



Government Crowding Out the Private Sector

The competition for credit

The private sector continues to be disenfranchised in the credit market due to the ineffectiveness of the interest rate regime to price risk. This continues to squeeze the private sector credit growth despite the ever increasing loanable deposits.



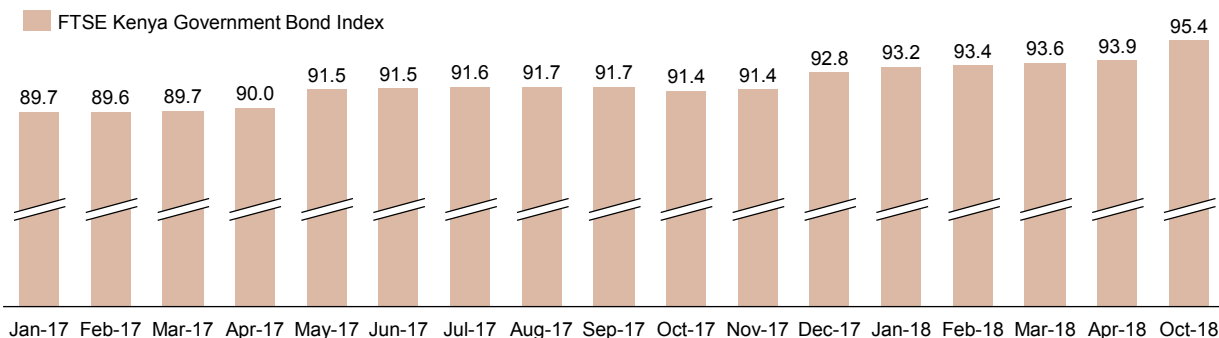
Source: CBK & MONTHLY ECONOMIC Indicators



Kenya Government Bond Index

Banks secure refuge in Government lending

With interest rates continuing to decline banks take refuge in Government lending where the decline in interest rates is compensated by appreciation in Government securities value

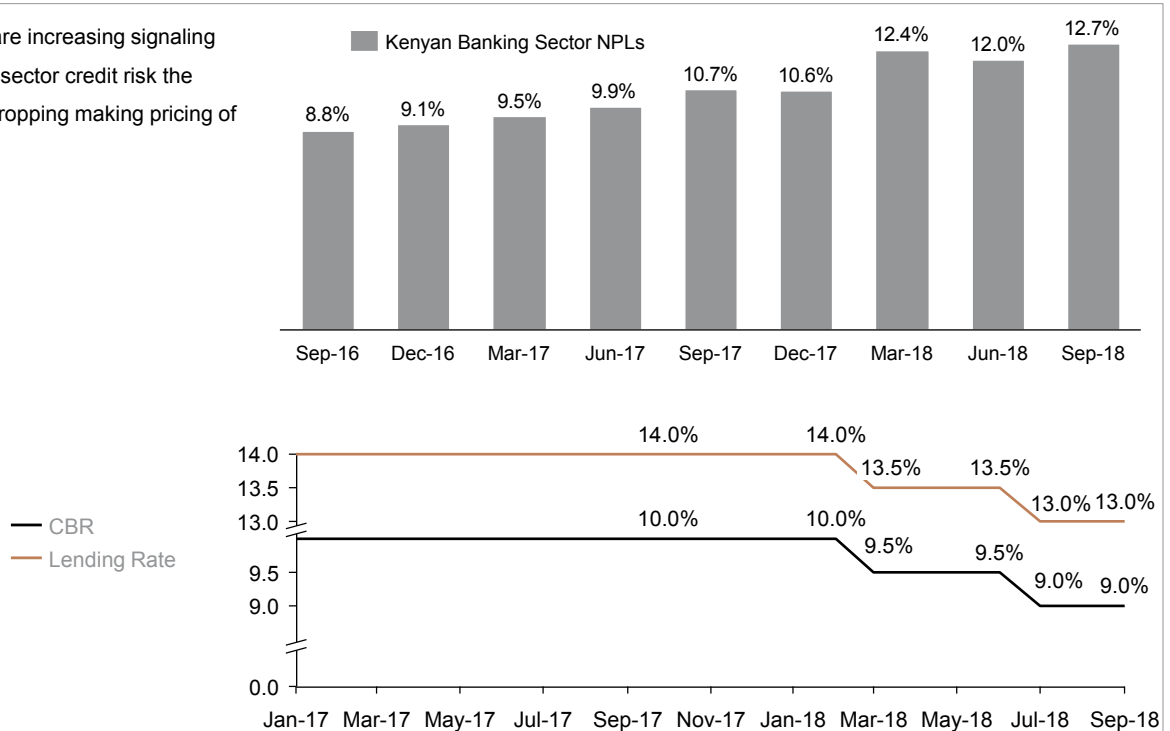


Source: CBK & MONTHLY ECONOMIC Indicators

Maximum Lending Rates

Banks secure refuge in Government lending

With sector NPLs are increasing signaling heightened private sector credit risk the interest rates are dropping making pricing of risk difficult.



Source: CBK & MONTHLY ECONOMIC Indicators

OUR INSPIRATION

That when years turn our vision dim and gray,
we shall still see beauty in the tired wrinkles of our faces and
shall take comfort out of the fact and knowledge that when we
were given the opportunity, we did all we could to empower our
people to exploit opportunities and realise their full potential on
the road to economic prosperity.



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